

**VILLAGE OF GRAYSLAKE  
ORDINANCE NO. 2024-0-38**

**AN ORDINANCE GRANTING A SPECIAL USE PERMIT FOR A  
PLANNED UNIT DEVELOPMENT AND APPROVING A  
GENERAL DEVELOPMENT PLAN FOR THE  
T5@CHICAGO IV PHASE 2 PROPERTY**

**Published in pamphlet form November 19, 2024**

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PLANNED UNIT DEVELOPMENT AND APPROVING A  
GENERAL DEVELOPMENT PLAN FOR THE T5@CHICAGO IV PHASE 2 PROPERTY**

**WHEREAS**, T5@CHICAGO IV LP (hereinafter referred to as the “**Owner**”) is the contract purchaser of approximately 90 acres of real property generally located west of Illinois Route 83 on Peterson Road, which property is legally described in **Exhibit A** attached hereto (the “**Property**”); and

**WHEREAS**, the Property has been zoned into the Neighborhood Conservation / Suburban Estate (NC/SE) zoning district within the Village of Grayslake (the “**Village**”); and

**WHEREAS**, pursuant to notice duly published in accordance with state law, the Grayslake Plan Commission commenced a public hearing on September 23, 2024, for the purposes of hearing and considering testimony on the Owner's request for approval of a special use permit for a planned unit development and approval of a general development plan for the development of the entire Property (the “**Proposed Development**”); and

**WHEREAS**, during the public hearings, representatives of the Owner presented oral and written testimony, including plans for the Proposed Development attached to this Ordinance as **Exhibit B** (collectively, “**General Development Plan**”); and

**WHEREAS**, during the public hearing, the Plan Commission made the following findings:

1. According to the testimony and other evidence presented by the Owner, including the General Development Plan, the Proposed Development will include various buildings and uses on the Property.
2. The Owner testified that the Proposed Development will be constructed in substantial conformity with the Village's Comprehensive Plan.
3. The evidence presented demonstrates that, subject to the conditions hereinafter set forth, the construction and maintenance of the Proposed Development on the Property:
  - (a) is consistent with the stated purpose of the planned unit development regulations;
  - (b) meets the requirements and standards of the planned unit development regulations;

- (c) makes adequate provision for public services and provides adequate control over vehicular traffic;
  - (d) is compatible with the adjacent properties;
  - (e) is not detrimental to the tax base and economic well-being of the entire community; and
  - (f) conforms with the intent and spirit of the Comprehensive Plan of the Village.
4. The evidence presented demonstrates that the Proposed Development satisfies the requirements for granting a special use permit for a planned unit development and approving the General Development Plan to permit the Proposed Development on the Property, subject to the terms and conditions hereinafter set forth;

**WHEREAS**, based on these findings, the Plan Commission recommended that a special use permit be granted for a planned unit development and the General Development Plan be approved as the general development plan for the Property and to permit the Proposed Development on the Property; and

**WHEREAS**, the President and Board of Trustees, having considered the recommendations of the Plan Commission and being fully advised in the premises, have determined that it is in the best interests of the Village and its residents to grant a special use permit for a planned unit development and approve the General Development Plan to permit the Proposed Development on the Property, subject to the terms and conditions of this Ordinance as hereinafter set forth; and

**NOW, THEREFORE, BE IT ORDAINED BY THE PRESIDENT AND BOARD OF TRUSTEES OF THE VILLAGE OF GRAYSLAKE, COUNTY OF LAKE, STATE OF ILLINOIS**, as follows:

**SECTION ONE: Recitals.** The foregoing recitals are hereby incorporated into and made a part of this Ordinance as if fully set forth in this Section.

**SECTION TWO: Grant of a Special Use Permit for a Planned Unit Development and Approval of the General Development Plan.** Subject to the limitations therein and the conditions set forth in Section Three of this Ordinance, a special use permit for a planned unit development shall be, and

is hereby, granted, and the General Development Plan shall be, and is hereby, approved as the general development plan for the Property to permit the Proposed Development on the Property.

**SECTION THREE: Conditions on Approval.** The approvals granted pursuant to Section Two of this Ordinance shall be, and they are hereby, conditioned upon and limited by the terms and conditions of the "Agreement of Conditions and Specifications for a Special Use Permit for the T5@CHICAGO IV PHASE 2 Property (Located west of Illinois Route 83 on Peterson Road)" (the "*SUP Agreement*"), which is attached hereto as **Exhibit C.** In addition to the remedies set forth in the SUP Agreement, any violation of this Ordinance or the SUP Agreement shall subject the Owner to enforcement proceedings accordingly. Following, but not before, the satisfaction of the Conditions Precedent (defined below) and the effectiveness of this Ordinance, the Village President and Village Clerk are and shall be authorized and directed to execute and attest the SUP Agreement.

**SECTION FOUR: Amendments.** Unless otherwise precluded by state law, applications to amend or make administrative or minor changes to this Ordinance, or for other land use approvals for the Property (including but not limited to special use permits), need only be executed by the owner or owners of that portion of the Property that is the subject matter of any such application, and shall not require the authorization or execution by the owner or owners of any other portion of the Property. In addition, amendments to the SUP Agreement may, in the discretion of the Village Board of Trustees, be made without amending the terms of this Ordinance and the procedures relating thereto.

**SECTION FIVE: Effective Date.** This Ordinance shall be in full force and effect from and after its passage, approval, and publication in pamphlet form in the manner provided by law; provided, however, that this Ordinance shall be of no force or effect unless and until: (i) the Owner has caused a duly authorized person to execute and file with the Village its unconditional agreement and consent, in the form attached hereto as **Exhibit D** and by this reference incorporated herein and made a part hereof; (ii) the SUP Agreement has been duly executed by all parties thereto; and (iii) Owner has acquired title to the

Property and has delivered satisfactory evidence of such acquisition (as determined in the reasonable discretion of the Village Manager in consultation with the Village Attorney) to the Village (collectively, the "**Conditions Precedent**"). If the Owner does not satisfy the Conditions Precedent within 90 days following the passage of this Ordinance, or within such greater time as the Village may approve, the Village Board may, in its discretion and without public notice or hearing, repeal this Ordinance and thereby revoke the special use permit granted in this Ordinance. Upon this Ordinance having full force and effect, the Village Clerk shall cause it to be recorded in the Office of the Lake County, Illinois Recorder of Deeds.

The foregoing Ordinance was passed this 19<sup>th</sup> day of November, 2024 by a vote as follows:

AYES: \_\_\_\_\_  
NAYS: \_\_\_\_\_  
ABSENT: \_\_\_\_\_

APPROVED: \_\_\_\_\_  
Village President

ATTEST:

\_\_\_\_\_  
Deputy Village Clerk

Passed: \_\_\_\_\_  
Approved: \_\_\_\_\_  
Published in Pamphlet Form: \_\_\_\_\_

Property and has delivered satisfactory evidence of such acquisition (as determined in the reasonable discretion of the Village Manager in consultation with the Village Attorney) to the Village (collectively, the "*Conditions Precedent*"). If the Owner does not satisfy the Conditions Precedent within 90 days following the passage of this Ordinance, or within such greater time as the Village may approve, the Village Board may, in its discretion and without public notice or hearing, repeal this Ordinance and thereby revoke the special use permit granted in this Ordinance. Upon this Ordinance having full force and effect, the Village Clerk shall cause it to be recorded in the Office of the Lake County, Illinois Recorder of Deeds.

The foregoing Ordinance was passed this 19<sup>th</sup> day of November, 2024 by a vote as follows:

AYES: Trustees Wildenstrom, Davies, Kornit, Vogel

NAYS: —

ABSENT: Trustees Magnetta + Sahu

APPROVED:

  
Village President

ATTEST:

Kelly C. Karl  
Deputy Village Clerk



Passed: 11-19-2024

Approved: 11-19-2024

Published in Pamphlet Form: 11-19-2024

## **Exhibit A**

### **Legal Description**

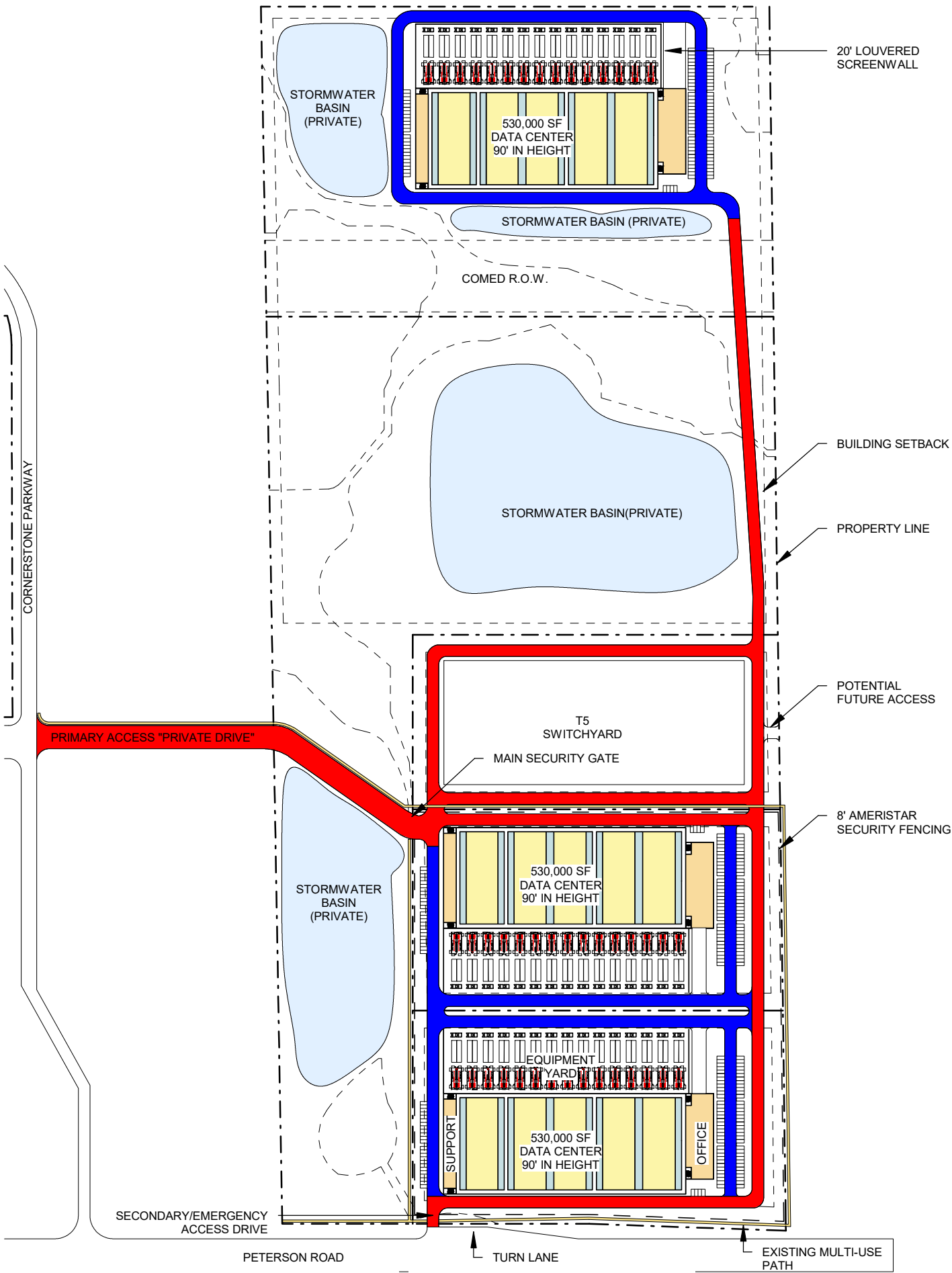
#### **PARCEL 1:**

THE EAST 1/2 OF THE NORTHWEST 1/4 (EXCEPT THE NORTH 185.0 FEET THEREOF) OF SECTION 11, TOWNSHIP 44 NORTH, RANGE 10, EAST OF THE THIRD PRINCIPAL MERIDIAN (EXCEPT THE SOUTH 40 FEET THEREOF, HERETOFORE DEDICATED FOR PUBLIC ROAD PURPOSES BY DOCUMENT 761162, RECORDED JUNE 23, 1952) AND (EXCEPT THAT PART CONVEYED TO THE COUNTY OF LAKE BY WARRANTY DEED RECORDED MAY 17, 2012 AS DOCUMENT 6852910), IN LAKE COUNTY, ILLINOIS.

#### **PARCEL 2:**

THAT PART OF THE EAST 1/2 OF THE SOUTHWEST 1/4 OF FRACTIONAL SECTION 2, TOWNSHIP 44 NORTH, RANGE 10, EAST OF THE THIRD PRINCIPAL MERIDIAN, LYING SOUTH OF A LINE DESCRIBED AS FOLLOWS: BEGINNING AT THE NORTHWEST CORNER OF THE SOUTH 19 ACRES OF THE SOUTHWEST 1/4 OF THE SOUTHEAST 1/4 OF SAID FRACTIONAL SECTION 2; THENCE WEST, PARALLEL WITH THE SOUTH LINE OF THE SOUTHWEST 1/4 OF SAID SECTION 2, TO THE WEST LINE OF THE EAST 1/2 OF THE SOUTHWEST 1/4 OF SAID SECTION 2 AND THE WESTERLY TERMINUS OF THE LINE HEREIN INTENDED TO BE DESCRIBED, IN LAKE COUNTY, ILLINOIS.

EXHIBIT B



- GENERAL DEVELOPMENT PLAN NOTES:**
- CORNERSTONE PATTERN BOOK STANDARDS TO APPLY TO THE DEVELOPMENT OF THE SITE, INCLUDING LANDSCAPING FOR INDIVIDUAL SITES AND COMMON AREAS.
  - SCREENING WALLS AROUND THE EQUIPMENT YARD TO BE ARCHITECTURALLY COMPATIBLE WITH THE BUILDING AND OF SUFFICIENT HEIGHT TO ADEQUATELY SCREEN EQUIPMENT(NOT TO EXCEED 20') FROM PUBLIC ROADWAYS AND VIEWPOINTS.
  - MX ZONING STANDARDS TO APPLY UNLESS VARIED IN THE PUD AGREEMENT.
  - THE BUILDING CONFIGURATION, SIZE, AND NUMBER MAY VARY BUT THE TOTAL SQUARE FOOTAGE SHALL NOT EXCEED 1,590,000 SF.
  - 8' TALL SECURITY FENCING MAY BE INSTALLED AROUND EACH SITE OR ENTIRE SITE.
  - PRIVATE DRIVEWAY TO BE DESIGNED FOR ALL EMERGENCY VEHICLES TO BE ABLE TO ACCESS THE PROPERTY AND MANEUVER WITHIN THE PROPERTY
  - THE LAYOUT OF THE DETENTION PONDS MAY VARY BASED ON FINAL SITE GRADING AND APPLICABLE ENGINEERING.
  - THE SCREENING WALLS AROUND THE SUBSTATION AND SWITCHYARDS SHALL BE AT A HEIGHT TO SUBSTANTIALLY SCREEN THE SUBSTATION AND SWITCHYARDS AND LANDSCAPE SCREENING THAT MEETS THE CORNERSTONE PATTERN BOOK STANDARDS IS TO BE INSTALLED AROUND THESE SCREENING WALLS.
  - CROSS ACCESS EASEMENT TO BE INCLUDED ACROSS ALL ROADWAYS/DRIVEWAYS.
  - 10-FT. WATER AND 15-FT. SANITARY EASEMENTS, RUNNING PARALLEL TO THE ROADWAYS/DRIVEWAYS ACCESS ALONG PETERSON ROAD TO BE PROVIDED.
  - ALL EASEMENTS FOR WATER, SANITARY, AND ROADWAY/DRIVEWAY SHALL BE LOCATED OUTSIDE THE SECURITY FENCING FOR THE DEVELOPMENT.

- ROADWAY/DRIVEWAY (PRIVATE)
- BUILDING ACCESS DRIVE (PRIVATE)
- WALKING PATH

**EXHIBIT C**  
**SUP Agreement**

4893-1608-0626, v. 2

## EXHIBIT D

### UNCONDITIONAL AGREEMENT AND CONSENT

Pursuant to Section Five of Ordinance No. 2024-0-38, and to induce the Village of Grayslake to grant the approvals provided for in such Ordinance, the undersigned acknowledges for itself and its successors and assigns in title to the Property that it:

1. has read and understands all of the terms and provisions of said Ordinance No. 2024-0-38;
2. hereby unconditionally agrees to accept, consent to, and abide by all of the terms, conditions, restrictions, and provisions of this Ordinance, the Zoning Code, and all other applicable codes, ordinances, rules, and regulations;
3. acknowledges and agrees that the Village is not and shall not be, in any way, liable for any damages or injuries that may be sustained as a result of the Village's issuance of any permits or approvals for the use of the Property, and that the Village's issuance of any permit or approval does not, and shall not, in any way, be deemed to insure the Applicant against damage or injury of any kind and at any time;
4. acknowledges that the public notices and hearings have been properly given and held with respect to the adoption of the Ordinance, have considered the possibility of the revocation provided for in the Ordinance, and agrees not to challenge any revocation on the grounds of any procedural infirmity or any denial of any procedural right so long as the provisions of this Ordinance have been satisfied;
5. agrees to and does hereby hold harmless, defend, and indemnify the Village, the Village's corporate authorities, and all Village elected and appointed officials, officers, employees, agents, representatives, and attorneys, from any and all claims that may, at any time, be asserted against any of these parties in connection with the Village's adoption of the Ordinance or granting of approvals to the Applicant pursuant to the Ordinance or Zoning Code (the "**Claims**"), provided that the Village gives timely notice to the Applicant of any such Claim. Unless there is a material divergence in the interests of the Applicant and the Village, the Applicant shall have primary responsibility for defending any Claims, and the Applicant and Village shall reasonably cooperate in the defense of such Claims, and the Applicant shall reimburse the Village for its reasonable costs (including reasonable attorneys' fees) associated with such cooperation. In the event of a material divergence in the interests of the Applicant and the Village, the Village may elect to retain separate counsel in defense of any such Claims, and the undersigned hereby agrees to reimburse the Village for its reasonable attorneys' fees and costs incurred in connection of such defense of Claims, provided that the Applicant's obligation to reimburse the Village for reasonable attorneys' fees and costs shall not extend to other counts asserted in litigation unrelated to the Claims. In all circumstances, the undersigned or the Village may assert the Village's available immunities in connection with such Claims; and
6. represents and acknowledges that the persons signing this Unconditional Agreement and Consent are duly authorized to do so on behalf of the Applicant.

**T5@CHICAGO IV LP**

**ATTEST:**

By: \_\_\_\_\_

By: \_\_\_\_\_

Its: \_\_\_\_\_

Its: \_\_\_\_\_

## EXHIBIT C

### AGREEMENT OF CONDITIONS & SPECIFICATIONS FOR THE SPECIAL USE PERMIT GRANTED FOR THE PLANNED UNIT DEVELOPMENT T5@CHICAGO IV PHASE 2

This **AGREEMENT** (the “**Agreement**”) is dated as of the 19th day of November, 2024 and is by and among the **VILLAGE OF GRAYSLAKE**, an Illinois municipal corporation (“**Village**”) and **T5@CHICAGO IV LP** (“**Owner**”). The Village and the Owner are hereinafter collectively referred to as the “**Parties**” and individually as a “**Party**” as the context may require.

**IN CONSIDERATION OF** the recitals and the mutual covenants and agreements set forth in this Agreement, the parties agree as follows:

#### **SECTION 1. RECITALS**

A. Owner is the contract purchaser of certain real property consisting of approximately 90 acres, located to the west of the intersection of Route 83 and Peterson Road in the Village of Grayslake and legally described in **Exhibit A** to this Agreement (“**Property**”).

B. The Property is situated within the Village and is zoned Neighborhood Conservation / Suburban Estate (NC/SE).

C. The Owner desires and proposes to develop the Property with a data center business park and associated office uses, all in accordance with this Agreement, all applicable Village and Lake County Ordinances and that certain Settlement Agreement and Release dated October 16, 1986 (the “**Settlement Agreement**”) and recorded by the Lake County Recorder on October 2, 1987 as Document No. 2618191.

D. Pursuant to notice duly published as provided by statute and the Zoning Code, a public hearing was held by the Plan Commission on September 23, 2024, and at the conclusion of the public hearing, the Plan Commission recommended approval of a special use permit for a planned unit development for the Property.

E. The Parties enter into this Agreement to provide for (i) the subdivision, development, use, and maintenance of the Property in compliance with this Agreement and the Settlement Agreement; and (ii) the construction of certain infrastructure improvements, including sanitary sewer facilities, stormwater detention, and drainage facilities, water facilities, and roadway improvements to serve the Property and the improvements to be constructed thereon.

F. The Parties now seek to enter into this Agreement pursuant to the authority granted by, among others, the following: (i) Division 13 of Article 11 of the Illinois Municipal Code (65 ILCS 5/11-13-1 et seq.); (ii) Division 5 of Article 9 of the Illinois Municipal Code (65 ILCS 5/9-5-1 and 5/9-5-2); and (iii) the Village’s police powers.

G. In order for the Owner to proceed with the development of the Property pursuant to the Final PUD Plans, it will be necessary to construct certain sanitary sewer, stormwater detention and drainage, public water, and roadway improvements, which improvements are necessary and desirable for the development of the Property.

H. The Corporate Authorities, after due and careful consideration, have concluded that the development and use of the Property pursuant to and in accordance with this Agreement would further enable the Village to control the development of the Property and would serve the best interests of the Village.

I. The Corporate Authorities have reviewed and considered the proposed development of the Property, and the various approvals being requested to allow for its implementation, and have found the proposed development and such subdivision approvals to be consistent with the character of, and existing development patterns in, the Village.

J. The Parties have agreed that, unless provided otherwise in this Agreement or the PUD Ordinance, the subdivision, development, and improvement of the Property shall occur in accordance with the Applicable Village Codes and Ordinances and the Settlement Agreement, except to the extent that the Applicable Village Codes and Ordinances conflict with the express provisions of this Agreement or any ordinance adopted pursuant to this Agreement.

K. Pursuant to the Settlement Agreement, Lake County has reviewed the Site Plan and confirmed that the development contemplated is fully consistent with the conditions provided for in the Settlement Agreement.

L. The Parties have agreed to the terms and conditions set forth in this Agreement as evidenced by the signatures affixed hereto.

## **SECTION 2. DEFINITIONS**

Whenever used in this Agreement, the following terms shall have the following meanings unless a different meaning is required by the context:

**“Applicable Village Codes and Ordinances”**: The Village Code, Building Code, Subdivision Ordinance, Zoning Code, and all other codes and ordinances adopted by the Village.

**“Building Code”**: Chapter 15, entitled “Buildings and Construction,” of the Village Code, as the same has been and may, from time-to-time hereafter, be amended.

**“Cornerstone Zoning Standards”**: The MX District zoning standards as approved in Village Ordinance No. 2009-0-26 relating to the so-called Cornerstone property located adjacent to the Property.

**“Corporate Authorities”**: The Village President and Board of Trustees of the Village.

**“Effective Date”**: The date of execution of this Agreement by all Parties hereto, which date shall be deemed to be the date set forth in the first paragraph of Page 1 of this Agreement.

**“Exhibits”**: Exhibits A through I attached to this Agreement, as follows:

- A. Legal Description of Property
- B. General Development Plan
- C. Architectural Renderings
- D. Substation and Switchyard Screening Wall Rendering
- E. Security Fencing Rendering
- F. Preliminary Engineering Plans
- G. Form of Performance and Payment Bond
- H. Form of Letter of Credit
- I. Intergovernmental Agreements with Lake County (the ***“Intergovernmental Agreement”***)

**“Final Engineering Plan”**: Any engineering plan that receives the approval of the Village Engineer pursuant to Section 4 of this Agreement and in accordance with the preliminary engineering plans attached hereto as **Exhibit F** and the Requirements of Law. Upon such approval, the Final Engineering Plan shall, automatically and without further action by the Corporate Authorities, be deemed to be incorporated in, and made a part of, this Agreement and shall, for all purposes in this Agreement, supersede any engineering plans previously submitted for consideration or tentative approvals.

**“Final Landscaping Plan”**: Any landscaping plan (other than the Individual Lot Landscaping Plans) for landscaping that is part of the Project Improvements and that receives the approval of the Village pursuant to Section 4 of this Agreement and in accordance with the Requirements of Law. Upon such approval, the Final Landscaping Plan shall, automatically and without further action by the Corporate Authorities, be deemed to be incorporated in, and made a part of, this Agreement and shall, for all purposes in this Agreement, supersede any landscaping plans (other than the Individual Lot Landscaping Plans) previously submitted for consideration or tentative approvals.

**“Final PUD Plans”**: Any final planned unit development plans that receive the approval of the Corporate Authorities pursuant to Section 4 of this Agreement and in accordance with the Requirements of Law, which Final PUD Plans shall include without limitation the Final Engineering Plan, the Final Landscaping Plan, and the Final Subdivision Plat. Upon such approval, the Final PUD Plans shall, automatically and without further action by the Corporate Authorities, be deemed to be incorporated in, and made a part of, this Agreement and shall, for all purposes in this Agreement, supersede the General Development Plan.

**“Final Subdivision Plat”**: Any subdivision plat that receives the approval of the Corporate Authorities pursuant to Section 4 of this Agreement and in accordance with the Requirements of Law. Upon such approval, the Final Subdivision Plat shall, automatically and without further action by the Corporate Authorities, be deemed to be incorporated in, and made a part of, this Agreement and shall, for all purposes in this Agreement, supersede any subdivision plat previously submitted for consideration or tentative approvals. The Owner may submit multiple Final

Subdivision Plats, including Final Subdivision Plats that resubdivide previously subdivided portions of the Property.

**“Force Majeure”**: Strikes, lockouts, acts of God, or other factors beyond a Party’s reasonable control and reasonable ability to remedy; provided, however, that Force Majeure shall not include delays caused by weather conditions, unless such weather conditions are unusually severe or abnormal considering the time of year and the particular location involved.

**“General Development Plan”**: The general land use plans attached hereto as **Exhibit B**.

**“Lot”**: A lot of record comprising a portion of the Property, as depicted on the Final Subdivision Plat.

**“Plan Commission”**: The Plan Commission/Zoning Board of Appeals of the Village, established by the Village Code, as the same has been and may, from time to time hereafter, be amended.

**“Preliminary Plans”**: Exhibits B through F to this Agreement.

**“Project Improvements”**: The Private Improvements and Public Improvements and any related facilities as provided in Section 8 of this Agreement.

**“Property Improvements”**: All of the improvements and facilities that are required or authorized to be made, constructed, or installed in connection with the subdivision and development of the Property, which improvements and facilities are set forth on the Preliminary Engineering Plans, and/or described in Section 8 of this Agreement (**“Improvements List”**). The Property Improvements shall be comprised of:

- **“Public Improvements”** being those Property Improvements that are to be dedicated to a public body or agency as part of the development of the Property, and which are depicted on the General Development Plan or Final PUD Plans as being dedicated to the public.
- **“Private Improvements”** being those Property Improvements (other than Public Improvements and Structural Improvements) that are required to be constructed, installed, or placed in service as part of the development of the Property pursuant to the General Development Plan, Final PUD Plans, this Agreement, or Requirements of Law, including without limitation the following:
  - a. Stormwater detention areas;
  - b. Fencing;
  - c. Berms;
  - d. Landscaping (including without limitation sidewalk plantings and sidewalk trees);
  - e. Exterior lighting (including without limitation antique lighting (Sternberg)).

- **“Structural Improvements”**: Being those buildings and structures authorized to be constructed on the Property, as well as the parking lot areas on the Property.

**“PUD Ordinance”**: Village Ordinance No. 2024-0-38, being “An Ordinance Granting a Special Use Permit for a Planned Unit Development and Approving a General Development Plan for the T5@Chicago IV Phase 2 Property.”

**“Requirements of Law”**: Applicable Village Codes and Ordinances, all applicable federal, state, and county laws, statutes, codes, ordinances, resolutions, rules, and regulations, and, to the extent applicable, the Settlement Agreement.

**“Subdivision Ordinance”**: Chapter 16 of the Village Code, being the Village of Grayslake subdivision regulations, as the same has been and may, from time-to-time hereafter, be amended.

**“Transportation IGA”**: That certain “Central Lake County Area Transportation Improvement Intergovernmental Agreement” to which the Village is a signatory.

**“Village Code”**: The Grayslake Village Code, as the same has been and may, from time-to-time hereafter, be amended.

**“Vision and Pattern Book”**: That certain document included as Exhibit B-4 of Exhibit C to Village Ordinance No. 2009-0-26, being entitled “Cornerstone, A New Beginning: Project Vision and Pattern Book.”

**“Zoning Code”**: Chapter 17 of the Village Code, being the Village of Grayslake zoning regulations, as the same has been and may, from time-to-time hereafter, be amended.

### **SECTION 3. APPROVAL OF THE GENERAL DEVELOPMENT PLAN AND PUD ORDINANCE**

The Parties acknowledge and agree that (a) the Village approved the General Development Plan as part of the PUD Ordinance, and (b) the PUD Ordinance is in full force and effect as of the Effective Date.

### **SECTION 4. SUBDIVISION, LANDSCAPING, AND ENGINEERING PLANS AND PLATS, SITE PLAN APPROVAL**

A. **Submission of Final PUD Plans**. Prior to the development of the Property and within ten (10) years after the effective date of the PUD Ordinance, which time period may be extended by the Village without the need either for further public notice and hearing or a formal amendment to this Agreement, the Owner shall prepare and submit to the Village a Final Subdivision Plan, a Final Landscaping Plan, and Final Engineering Plans all prepared in substantial conformity with the General Development Plan.

B. **Approval if Substantially Conform to General Development Plan.** After the Final Subdivision Plat, a Final Landscaping Plan, and Final Engineering Plans have been submitted to the Village, the Village shall cause the same to be promptly reviewed and shall cause such meetings to be conducted as may be necessary for consideration and approval of the Final Subdivision Plat, Final Landscaping Plan, and Final Engineering Plans. The Final Landscaping Plan shall be in conformance with the Vision and Pattern Book. The Village Board shall promptly approve the Final Subdivision Plat and direct all required Village signatures and certifications to be affixed to the Final Subdivision Plat provided that the Final Subdivision Plat complies with the Requirements of Law and is in substantial conformance with the General Development Plan; provided further that modifications approved by the Village Engineer to accommodate changes required to obtain required permits for the Sewer Improvements [as defined in Section 8.A(iii)], wetlands, water facilities, stormwater detention and drainage improvements, and the Roadway Improvements [as defined in Section 8.A(v)] shall not be deemed to impact the determination of substantial conformance with the General Development Plan. However, no such signatures and certifications shall be affixed by the Village until the Owner shall have (i) obtained all other approvals, sworn statements, signatures, and certifications required for the Final Subdivision Plat; (ii) paid the Village its legal, engineering, consulting and administrative fees, costs, and expenses incurred in connection with the Property, including without limitation costs for such recordation; and (iii) deposited the Performance and Payment Security as required pursuant to Section 13 of this Agreement.

C. **Recordation.** After final approval, execution, and certification of the Final Subdivision Plat by the Village, the Village shall promptly cause the Final Subdivision Plat to be properly recorded with the Lake County Recorder of Deeds.

## **SECTION 5. DECLARATION OF COVENANTS**

Prior to recordation of any Final Subdivision Plat for the Property or a portion of the Property, the Owner shall record against the Property, in a form and substance reasonably acceptable to the Village Attorney, a Declaration of Covenants providing for the following:

i. The protection and maintenance (including prohibitions on the removal or relocation of such improvements unless otherwise approved by the Village), by the property owners, in perpetuity, of the Private Improvements and other common facilities, including without limitation the Roadway Improvements (as defined in Section 8.A.v of this Agreement), stormwater detention areas, any parking lots, sidewalks and bike paths, fencing and berms, landscaping (including without limitation sidewalk plantings and sidewalk trees), and exterior lighting (including without limitation antique lighting and bollards) on the Property;

ii. A prohibition against amending those provisions of the Declaration of Covenants that affect the rights or interests of the Village as set forth in this Agreement, or as otherwise set forth in the Declaration of Covenants; and

iii. The right of the Village to take action to cure any failure of the property owners to properly maintain and repair the Property (except the parking lots) or to otherwise fail to abide by the provisions of the Declaration of Covenants following reasonable notice and cure periods, and

the right of the Village to be reimbursed for all costs and expenses (including reasonable attorneys' fees) incurred by the Village related thereto, including without limitation the right of the Village to perfect a lien to recover such costs and expenses against any or all of the parcels of property within the Property, all subject to notice and cure periods reasonably acceptable to the parties.

## **SECTION 6. USE AND DEVELOPMENT OF THE PROPERTY**

A. **Use Restrictions.** Subject to the provisions and procedures of this Agreement, the PUD Ordinance, and the Zoning Code, the Property may be developed with uses that are consistent with Applicable Village Codes and Ordinances and the Settlement Agreement.

B. **General PUD Restrictions.** Notwithstanding any use or development right that may be applicable or available to the Property pursuant to the Zoning Code, the Property shall be used and developed, except for minor alterations due to final engineering and site work approved by the Village Engineer, only pursuant to and in accordance with the following, listed in order of priority and control:

- i. This Agreement;
- ii. The Final Subdivision Plat;
- iii. The Final Engineering Plans;
- iv. The Final Landscaping Plans
- v. The PUD Ordinance;
- vi. All other applicable provisions of the Zoning Code and Subdivision Ordinance;
- vii. The Applicable Village Codes and Ordinances;
- viii. The Settlement Agreement (to the extent applicable);
- ix. The Declaration of Covenants, as such Declaration may be amended from time-to-time;
- x. The Transportation IGA; and
- xi. The Requirements of Law.

Unless otherwise provided in this Agreement, either specifically or in context, in the event of a conflict between or among any provisions of this Agreement or the plans and documents set forth in this Section, the provision or document that provides the greatest control and protection for the Village (as determined by the Village) shall control, subject to Requirements of Law, if any, that

are preemptory of any of the listed restrictions. All of the plans and documents set forth in this Section 6.B shall be interpreted so that the duties and requirements imposed by any one of them are cumulative among all of them, unless otherwise provided in this Agreement either specifically or in context.

C. **Amendments.** If the Applicable Village Codes and Ordinances are amended during the term of this Agreement so as to impose more stringent requirements on the development of the Property in accordance with this Agreement, the amended regulations shall apply to the development of the Property from that point in time forward so long as the regulations (i) apply to all properties in the Village located in the same zoning district as the Property or in the Village's MX zoning district (except for developments in the Village subject to agreements providing otherwise); (ii) are not in direct conflict with the terms of this Agreement; and (iii) do not substantially and adversely affect the Owner's ability to develop the Property in substantial conformity with this Agreement.

D. **No Further Zoning Approvals.** Subject to the terms and conditions of this Agreement, no further zoning approvals shall be required of the Owner as a prerequisite to the receipt by the Owner of the permits necessary to permit the development of the Property as depicted on the General Development Plan in substantial conformity with this Agreement.

E. **Development Standards.** Except as noted in this Agreement, the standards of the MX District and the Cornerstone Zoning Standards (including without limitation the Vision and Pattern Book) shall apply to development of the Property. Exceptions to these standards applicable to data centers only shall be:

- i. **PUD Layout Flexibility:** The size, configuration, and number of buildings shown in the General Development Plan (**Exhibit B**) may be adjusted to accommodate facility customer needs, provided that (a) the total gross floor area of buildings and structures on the Property shall not exceed 1,590,000 square feet, and (b) MX District and Cornerstone Zoning Standards (including without limitation the Vision and Pattern Book) shall continue to apply.
- ii. **Parking:** A minimum of one (1) parking space per 5,300 square feet of gross floor area shall be provided [rather than the MX District minimum of one (1) per 1,000 square feet].
- iii. **Floor Area Ratio:** A maximum floor area of 1.0 shall be permitted [rather than the MX District maximum of 0.6].
- iv. **Impervious Surface:** A maximum impervious surface coverage of 90% shall be permitted [rather than the MX District maximum of 85%].
- v. **Fence Height:** A maximum fence height of 8 feet [rather than 6 feet] shall be permitted, provided that all fencing substantially conforms to the Security Fencing

Rendering attached as **Exhibit E** and otherwise meets the Cornerstone Zoning Standards and Vision and Pattern Book standards.

- vi. **Zoning Lots:** The Property may be subdivided into sliver lots as approved by the Village through a Final Subdivision Plat; provided, however, that any Structural Improvement to be developed on the Property shall be located on sliver lots consolidated to form a zoning lot meeting the minimum lot size requirement in accordance with the standards of the MX District and the Cornerstone Zoning Standards.

F. **Design Standards.** Building elevations and detailed plans and renderings for any building on the Property shall be submitted to the Village's architectural design consultant for its review and approval prior to construction of such building or buildings. All buildings on the Property shall be designed so as to be consistent with the Grayslake Comprehensive Plan, the Vision and Pattern Book, and the Architectural Renderings attached to this Agreement as **Exhibit C**. Further, if a secondary building design identified in **Exhibit C** is used, this design can only be used for the building lying on that portion of the Property located north of the Commonwealth Edison right-of-way.

G. **Screening of Substation, Switchyards and Equipment Yards.** For all substations, switchyards, and equipment yards on the Property, the following additional standards shall apply:

1. All such substations, switchyards, and equipment yards shall be located north of the rear elevation of the principal building on the Property most proximate to Peterson Road.
2. The screening walls around the equipment yards shall be architecturally compatible with the buildings and of sufficient height to adequately screen equipment from public roadways and viewpoints; provided, however, that any such screening wall shall comply with the applicable building setback requirements and shall not exceed 20 feet in height.
3. The screening walls around the substation and switchyards shall substantially conform to the Substation and Switchyard Screening Wall Rendering attached as **Exhibit D**. Further, the screening walls around any substation or switchyard shall be (a) at a height to substantially screen the substation or switchyard from adjoining properties, and (b) landscaping satisfying the standards of the Vision and Pattern Book shall be installed around these screening walls.
4. **Phases.** The Owner shall have the right to develop the Property in phases as elected by the Owner: (i) subject to the review and approval of the Village; (ii) provided that each separate phase shall independently comply with all Applicable Village Codes and Ordinances as modified by this Agreement and be able to operate independently as a functioning system; and (iii) provided

further that each phase separate or any combination of two or more phases shall be recorded in one or more approved Final Subdivision Plat.

## **SECTION 7. FUTURE COOPERATION**

The Village agrees to provide to the Owner such cooperation, support, and assistance as may be reasonably necessary to implement the provisions of this Agreement and to obtain any and all permits and approvals from other governmental entities with jurisdiction required to allow the Owner to develop the Property in accordance with this Agreement, including but not limited to permits and approvals for the Roadway Improvements, public waterservice, Sewer Improvements, and stormwater management; provided, however, that any costs incurred by the Village in its cooperation, support, and assistance (including without limitation costs relating to engineering, architectural, surveying, legal, or other services) shall be fully reimbursed by the Owner. The Village agrees to grant the Owner such access and easement rights to Village rights-of-way as reasonably necessary to construct the Sewer Improvements necessary for the Property in conformance with the approved Final Engineering Plans. In the event that the Owner is unable to secure easements or other rights reasonably required for the extension of utilities for the Property, to the extent permitted by law, authority, and jurisdiction, the Village agrees to provide assistance in securing such easements, provided that such assistance shall be at no cost to the Village.

## **SECTION 8. PROJECT IMPROVEMENTS**

A. **Description of Project Improvements.** In connection with the development of the Property, the Owner shall, at its sole cost and expense, design, construct, and install all of the Project Improvements on and serving the Property that are identified on the General Development Plan and in the approved Final Engineering Plans or Final Landscaping Plans and in accordance with the following specifications:

i. **Landscaping.** Landscaping on the Property shall be installed pursuant to the Vision and Pattern Book. The individual lots shall be required to submit landscape plans for approval with applications for building permits and to maintain the landscaping on the Property in accordance with the Individual Lot Landscaping Plan and good arboricultural and landscaping practices. If, for whatever reason, any of the plantings depicted on any Final Landscaping Plan or Individual Lot Landscaping Plan are removed, destroyed, or fail to survive two years following (i) the issuance of a certificate of occupancy for the improvements on a particular lot or parcel or (ii) initial installation of such plantings, whichever is later, the Owner shall, not later than the next planting season occurring at least 30 days after the Owner receives notice from the Village, replace such plantings with substitute plantings that substantially conform to the size and type of the original plantings, as depicted on the Final Landscape Plan or Individual Lot Landscaping Plan. For purposes of this Subsection, a “planting season” shall be either the period between 15 April and 15 June or the period between 15 September and 1 November in any calendar year.

ii. **Stormwater Detention.** The Owner shall design and install the stormwater management and detention facilities for the Property, which facilities shall be constructed and completed in accordance with the Final Engineering Plans (collectively, the “***Storm Sewer Improvements***”) and maintained by the Owner in accordance with the Declaration of Covenants.

The Village and the Owner agree that Storm Sewer Improvements may be installed on the Property in phases acceptable to and approved by the Village in accordance with the Requirements of Law.

iii. Sanitary Sewer. Sanitary sewer service shall be provided to the Property by sanitary sewer facilities connected to the Village of Grayslake sanitary sewer system, which sanitary sewer facilities shall be constructed and completed in accordance with the Final Engineering Plans (the “**Sanitary Sewer Improvements**”). The Village and the Owner agree that Sanitary Sewer Improvements may be installed on the Property in phases acceptable to and approved by the Village.

iv. Water. Water service shall be provided to the Property through the Village’s public water system. The extensions and upgrades to the water system shall be constructed and completed in accordance with the Final Engineering Plans (collectively the “**Water Improvements**”). The Village and the Owner agree that Water Improvements may be installed on the Property in phases acceptable to and approved by the Village.

v. Roadway Improvements. All roadways within the Property, as well as public access improvements to, from, and within the Property, shall be constructed by Owner (or an authorized transferee pursuant to Section 15 of this Agreement) in compliance with all Applicable Village Codes and Ordinances and completed in accordance with the approved Final Engineering Plans (“**Roadway Improvements**”). With respect to the Roadway Improvements:

- a. The Owner or his designee shall be responsible for maintaining and snow plowing all roads as is to be provided in the Declaration of Covenants.
- b. Any public road shall be dedicated to the Village or other appropriate roadway authority. Until such public roads have been duly accepted, the Owner shall be responsible for maintaining and snow plowing them in accordance with the Declaration of Covenants
- c. Pursuant to the Transportation IGA, the Owner shall pay to the Village the appropriate amount due under the Transportation IGA for the Property. The payment shall be made upon approval of the first Final Subdivision Plat for any portion of the Property.

vi. Dumpsters. All dumpsters and other trash enclosures shall be installed, maintained, and screened in accordance with Applicable Village Codes and Ordinances.

vii. Lighting. Final exterior site lighting plans shall be included in and approved as part of the Final Engineering Plans and in accordance with the Vision and Pattern Book.

viii. Signage. All signage shall be in accordance with the Vision and Pattern Book. Owner shall submit to the Village for its review and approval (which approval shall not be unreasonably withheld) a comprehensive sign package including all proposed signage for the Property (except individual building signs).

ix. Parking. Parking areas for the Property shall be installed and maintained on the Property substantially in accordance with the General Development Plan and Final Engineering Plans. In the event that any portion of the Property is subdivided in the future, such subdivided lot shall contain adequate parking to meet these parking requirements as provided for in Section 6.E.

x. Public Utility Easements. Public Utility Easements shall be provided as shown on the Final Subdivision Plat in locations as agreed to by the Parties, including but not limited to water and sanitary sewer easements, cross access easements for use/access of roads/driveways by individual lot users, and any public access road shown on the General Development Plan.

xi. Grading. Following the grading of the Property, Owner shall seed all Lots, except for those for which a building permit has been issued. Owner shall also maintain or cause to be maintained such Lots in a safe and litter-free condition until a building permit has been issued therefor. In addition, Owner shall cause such grass to be cut at least monthly during any growing season. Upon transfer of any Lot on the Property, the transferee owner shall be responsible for the maintenance of such Lot in accordance with the provisions of this Subsection 8.A.xi and the Applicable Village Codes and Ordinances.

B. Design and Construction of the Project Improvements. All Project Improvements shall be designed and constructed pursuant to and in accordance with the Final Engineering Plans and to the reasonable satisfaction of the Village Engineer. Moreover, the Sewer Improvements shall be subject to the review and approval of the Lake County Public Works Department. All work performed on the Project Improvements shall be conducted in a good and workmanlike manner and with due dispatch once commenced in accordance with the schedule approved by the Village Engineer and referenced in Section 8.C of this Agreement. All materials used for construction of the Project Improvements shall be new and of first quality unless otherwise approved by the Village; provided, however, that, in constructing roads or driveway improvements and other pavement, the Owner agrees to recycle construction materials in accordance with Applicable Village Codes and Ordinances. Unless otherwise approved in advance by Village staff, no construction shall be permitted on the Property before 6:00 a.m. or after 6:00 p.m. on Mondays through Fridays nor before 8:00 a.m. or after 5:00 p.m. on Saturdays and Sundays.

C. Completion of the Project Improvements. All Project Improvements for development of the Property shall be completed and made ready for inspection and approval by the Village pursuant to the construction schedule that will be approved by the Village Engineer as part of the Final Engineering Plans and within the following time periods, which time periods may be extended by resolution of the Village Board for good cause shown and shall not require an amendment to this Agreement:

i. Within ten (10) years of the approval of Final Subdivision Plat for the Property the Project Improvements listed below shall be completed and made ready for inspection and approval:

a. Water Improvements;

b. Sanitary Sewer Improvements;

- c. Storm Sewer/Detention Improvements;
- d. Roadway/Driveway Improvements;
- e. Property Landscaping/Fencing;
- f. All other off-site improvements.

D. **Engineering Services.** The Owner shall provide, at their sole cost and expense, all engineering services for the design and construction of the Project Improvements that either (i) it is to construct or (ii) that are to be constructed by others as prepared or approved by the Village. In addition, the Owner shall deliver funds to the Village to be maintained by the Village as an escrow from which Village expenses relating to engineering plan review and inspections shall be reimbursed; the amount of such escrow shall be established by the Village Manager or the Manager's designee to reflect a reasonable estimate of such engineering review and inspection expenses, and the Owner may be required to supplement the amount deposited in such escrow from time-to-time to ensure that all such Village engineering expenses are reimbursed. Upon completion of the Project Improvements and all reviews and inspections relating thereto, any funds remaining in such escrow shall be returned to the Owner.

E. **Construction Traffic.** The Village reserves the right to designate certain prescribed routes of access to the Property for construction traffic to provide for the protection of pedestrians and to minimize disruption of traffic and damage to paved street surfaces; provided, however, that such designated routes shall not be unreasonable or unduly circuitous nor unreasonable or unduly hinder or obstruct direct and efficient access to the Property for construction traffic. At all times during the construction of the Project Improvements, and until completion, approval, and, where appropriate, acceptance of the Public Improvements by the Village, the Owner shall keep all routes used for construction traffic free and clear of mud, dirt, debris, obstructions, and hazards with appropriate access for emergency vehicles. Owner shall repair any damage caused by such construction traffic.

F. **Inspection and Approval of the Project Improvements**

i. **Final Inspection and Approval of the Project Improvements.** The Owner shall notify the Village Engineer when it believes that any or all of the Project Improvements have been fully and properly completed and shall request final inspection and approval of such Project Improvements by the Village. The notice and request shall include any of the "as-built" or "record" drawings required by Section 8.F.ii and, with respect to the Public Improvements, to the extent not previously submitted, contractors' sworn statements, final lien waivers, and all other appropriate documentation necessary to demonstrate that all contractors, subcontractors, and material suppliers, as well as all engineering and inspection fees, have been paid in full. The notice and request shall be given far enough in advance to allow the Village Engineer time to inspect the Project Improvements and to prepare a punch list of items requiring repair or correction and to allow the Owner time to make all required repairs and corrections prior to the scheduled

completion date. The Owner shall promptly make all necessary repairs and corrections as specified on the punch list and in accordance with the Final Engineering Plans.

ii. “As-Built” or “Record” Drawings and Specifications of the Public Improvements. The Owner shall, not later than the time it gives the notice of completion and request for approval, provide to the Village three sets of “as-built” or “record” drawings for all of the Public Improvements, including one set on a reproducible mylar. The “as-built” or “record” drawings and specifications shall depict every Public Improvement as built and shall include all final dimension, elevations, and calculations necessary to fully describe the Public Improvements and to establish the compliance with this Agreement and all Requirements of Law.

G. **Guaranty of the Project Improvements.** The Owner hereby guarantees the prompt and satisfactory correction of all defects and deficiencies in the Project Improvements, or within public rights-of-way or easements, that occur or become evident within one year after completion and approval of the Project Improvements by the Village pursuant to this Agreement. If any defect or deficiency occurs or becomes evident during that period, then the Owner shall, after 30 days’ prior written notice from the Village (subject to Force Majeure), correct it or cause it to be corrected. In the event any Project Improvement is repaired or replaced pursuant to any demand, the Guaranty provided by this Section 8.G shall be extended, as to such repair or replacement, for one full year from the date of such repair or replacement.

H. **Issuance of Permits and Certificates.**

i. Performance Security. The Village shall not be required to issue any permits in connection with any Property Improvements or other development activities relating to the Property until the Owner shall have delivered to the Village the performance securities required under Section 13 of this Agreement.

ii. At-Risk Excavation and Grading Activities. The Owner shall have the right to commence earth-moving activities on the Property or any phase thereof, at any time after the execution of this Agreement and prior to obtaining approval of Final Engineering Plans, but not until after:

- a. Receipt of a Watershed Development Permit, or an earth change approval for such work pursuant to the applicable Watershed Development Ordinance.
- b. Delivery of a Letter of Credit in the forms attached hereto as **Exhibit H**.
- c. Village approval of the stormwater management, soil sedimentation, and erosion control plans, to undertake excavation, preliminary grading work, and filling and soil stockpiling on the Property in preparation of development of the Property pursuant to this Agreement.

The Owner shall not perform any such activities within any wetland area until it has received all approvals for such work in accordance with the Requirements of Law. All work shall be undertaken at Owner's sole risk without injury to adjacent properties. The Owner agrees to defend and hold harmless the Village for such work and to the extent that any work done pursuant to this paragraph does not conform to the approved Final Engineering Plans or any permit plans, the Owner shall be required to regrade or otherwise correct the affected portion of the Property to comply with the approved Final Engineering Plans and all permit requirements.

iii. Right to Withhold Permits and Certificates. The Village shall have the absolute right to withhold any building permit or certificate of occupancy at any time the Owner is in breach of the terms of this Agreement, subject to the Village providing written notice of such violation and providing the Owner with an opportunity for the Owner to cure such violation within 30 days of such notice or such longer period as may be provided herein.

iv. Completion of Improvements. The Village shall have no obligation to issue certificates of occupancy for any Structural Improvements located on the Property until the applicable Project Improvements are completed by the Owner in accordance with the schedule approved by the Village Engineer as referenced in Section 8.C of this Agreement or until other arrangements satisfactory to the Village Engineer, in such engineer's reasonable discretion, shall have been made. The issuance of any building permit or certificate of occupancy by the Village at any time prior to completion of all the Project Improvements and approval and, where appropriate, acceptance thereof by the Village shall not confer on the Owner any right or entitlement to any other building permit or certificate of occupancy.

I. Abandonment of Property Development. Subject to Force Majeure, if the Owner fails to diligently pursue all construction as required in, or permitted by, this Agreement to completion within the time period prescribed in the building permit or permits issued by the Village for such construction, and if the building permit or permits are not renewed within three months after the expiration thereof, the Owner shall, within 60 days after notice from the Village, remove any partially constructed or partially completed Property Improvements from the Property and take any other actions necessary in order to secure and/or make safe the Property. In the event the Owner fails or refuses to remove said Improvements or secure or make safe the Property, as required, the Village shall have, and is hereby granted, in addition to all other rights afforded to the Village in this Agreement and by law, the right, at its option, to secure and/or make safe the Property, including, if necessary, demolishing and/or removing any unsafe Property Improvements, and the Village shall have the right to apply any applicable security or otherwise charge the Owner for an amount sufficient to defray the entire cost of the work, including reasonable legal and administrative costs. If the amount charged is not paid by the Owner within 30 days following a demand in writing by the Village for payment, the charge, together with interest and costs of collection (including reasonable attorney's fees), shall become a lien against the Lot (as depicted on the Final Subdivision Plat) on which the work was performed, and the Village shall have the right to collect the charge, with interest and costs, and to enforce the lien in the same manner as mortgage foreclosure proceedings.

J. **Damage to the Property and Other Property.** The Owner shall maintain the Property and all streets and sidewalks in and adjacent to the Property in a safe condition at all times during development of the Property and construction of the Property Improvements. Further, the Owner shall promptly clean all debris deposited on any street, sidewalk, or other public property in or adjacent to the Property by the Owner or any agent of or contractor hired by, or on behalf of, the Owner; and shall repair any damage to such property that may be caused by the activities of the Owner or any agent of or contractor hired by, or on behalf of, the Owner.

## **SECTION 9. BUILDING AND RELATED CODES**

The Village and Owner acknowledge and agree that the Property is subject to the Settlement Agreement, the applicable building and related codes (including, without limitation, mechanical, electrical, plumbing, and fire safety codes) are those specified in the relevant provisions of Section 8 of the Settlement Agreement and that, notwithstanding anything to the contrary herein, the County of Lake shall have exclusive jurisdiction and authority to enforce such codes pursuant to the Intergovernmental Agreement (as defined in Section 10.A below).

## **SECTION 10. BUILDING PERMITS AND RELATED INSPECTIONS**

A. Pursuant to the Settlement Agreement, building permit reviews and building inspections and other services related to the development of the Property shall be performed by the Lake County Building and Zoning Department. The parties acknowledge that the Village has entered into the Intergovernmental Agreement with the County of Lake (**Exhibit I**) to provide said reviews, inspections, and services on behalf of the Village.

B. The Village shall not have or exercise responsibility or authority for the matters delegated to the County of Lake pursuant to the Intergovernmental Agreement during the term of that agreement.

## **SECTION 11. EASEMENTS AND DEDICATIONS**

The Owner shall dedicate sites and easements as required by this Agreement and as depicted on the General Development Plan and Final Subdivision Plat. The Village shall consult with the Owner regarding the easement locations and said easements shall not unreasonably interfere with the proposed use of the Property.

## **SECTION 12. PAYMENT OF VILLAGE FEES AND COSTS**

A. General Requirements. In addition to any other costs, payments, fees, charges, contributions, or dedications required by this Agreement, the Owner shall pay to the Village, as and when due, all application, inspection, and permit fees, and all other fees, charges, and contributions required by the Applicable Village Codes and Ordinances.

B. Special Requirements. In addition to any other costs, payments, fees, charges, contributions, or dedications required by this Agreement or by the Applicable Village Codes and

Ordinances, the Owner shall pay to the Village, within 14 days of presentation of a written demand or demands therefor, all reasonable legal, engineering, and other consulting or administrative fees, costs, and expenses incurred or accrued in connection with the review and processing of plans for, and inspection of, the development of the Property and in connection with the negotiation, preparation, consideration, and review of this Agreement. In connection with such requirement, the Owner shall also submit, and replenish as needed, an escrow to the Village in accordance with Village requirements. Payment of all such fees, costs, and expenses for which demand has been made, but payment has not been received, by the Village prior to execution of this Agreement shall be made by a certified or cashier's check within 14 days of presentation of an invoice unless otherwise agreed to by the Parties.

### **SECTION 13. PERFORMANCE SECURITY**

#### **A. Performance and Payment Security; Cash Bond**

1. **Performance and Payment Letter of Credit or Bond.** As security to the Village for the performance by the Owner of its obligations to construct and complete the Project Improvements pursuant to and in accordance with this Agreement, the Owner shall deposit with the Village one of the following:
  - a. a combined performance and payment letter of credit (***"Performance and Payment Letter of Credit"***) in a total amount equal to 110% of the estimate of the costs of construction and completion of the Project Improvements so secured as determined by the Village Engineer (***"Approved Cost Estimate"***), or
  - b. a performance bond and a payment bond (***"Performance Bond"*** and ***"Payment Bond,"*** respectively), each in an amount equal to 110% of the actual costs of construction and completion of the Project Improvements so secured based on executed contracts for all the Project Improvement work as confirmed by the Village Engineer (the ***"Approved Actual Costs"***), or
  - c. such other financial security (including through use of an escrow) to which the parties may mutually agree,

(such letter of credit, bond, or other security shall be referred to from time to time as the ***"Performance and Payment Security"***). The Owner shall not be required to post Performance and Payment Security with the Village to secure the performance of any obligations related to Public improvements for which the Owner has secured such obligations with another governmental entity. In addition to the Performance and Payment Security, and as additional security to the Village for the performance by the Owner of the Owner's obligations (i) to pay all Village fees, costs, and expenses due from the Owner pursuant to this Agreement, (ii) to maintain and repair driveways, sidewalks, and other public property pursuant to this Agreement, (iii) to restore property pursuant to this Agreement, and (iv) to otherwise faithfully perform its undertakings pursuant to this Agreement except for the construction and completion of

the Project Improvements, the Owner shall deposit with the Village cash (***“Cash Deposit”***) in one of the following total amounts:

- d. if the Owner deposits a Performance and Payment Letter of Credit, then no Cash Deposit shall be required; or
- e. If the Owner deposits a Performance Bond and a Payment Bond, then the Cash Deposit shall be in the amount of \$50,000.

The terms of this Section 13.A.1 do not excuse the Owner’s obligation to maintain any escrow otherwise required pursuant to the terms of any other provision of this Agreement or the Applicable Village Codes and Ordinances.

- 2. **Maintenance of Security.** The deposit of the Performance and Payment Security and the Cash Deposit shall be a condition precedent to the issuance of a building permit for the Improvements. The Performance and Payment Security and the Cash Deposit shall be maintained and renewed by the Owner, and shall be held in escrow by the Village, until approval and acceptance, where appropriate, of all the Project Improvements by the Village pursuant to Section 8 of this Agreement and until the posting of the Guaranty Letter of Credit required by Section 13.B below. After the acceptance and posting of the Guaranty Letter of Credit, the Village shall release the Performance and Payment Security and any amounts remaining in the Cash Deposit.

B. **Guaranty Letter of Credit.** As a condition of the Village’s approval and acceptance, where appropriate, of any or all of the Project Improvements pursuant to Section 8 of this Agreement, the Owner, on behalf of itself and its successors, shall post a letter of credit in the amount of 10% of the actual total cost of the Project Improvements (as certified by the Owner's engineer and approved by the Village Engineer) as security for the performance of the Owner's obligations with respect to the Project Improvements under this Agreement (***“Guaranty Letter of Credit”***). The Guaranty Letter of Credit shall be held by the Village in escrow until the end of the one-year guaranty period set forth in Section 8 of this Agreement or until one year after the proper correction of any defect of deficiency in the Project Improvements pursuant to Section 8.F and payment thereof whichever occurs later. If the Village is required to draw on the Guaranty Letter of Credit by reason of the Owner’s failure to fulfill its obligations under this Agreement, then the Owner, within 10 days thereafter, shall cause the Guaranty Letter of Credit to be increased to its full original amount. The Owner shall not be required to post a Guaranty Letter of Credit with the Village to secure the performance of any obligations related to Project Improvements for which the Owner has secured such obligations with another governmental entity.

C. **Interests and Costs.** The Owner shall not be entitled to interest on the Cash Deposit. The Owner shall bear the full cost of securing and maintaining the Performance and Payment Security and the Guaranty Letter of Credit.

D. **Form of Bond, Letters of Credit.** The Performance and Payment Security and the Guaranty Letter of Credit each shall be in a form satisfactory to the Village Attorney in accordance with this Section 13.D.

1. **Performance and Payment Bond.** The Performance and Payment Bond shall be in substantially the form attached to this Agreement as **Exhibit G** and shall be from a surety company acceptable to the Village and licensed to do business in the State of Illinois with a general rating of A and a financial size category of Class XV or better in Best's Insurance Guide. The penal sum of the Performance and Payment Bond shall not be reduced by reason of any Project Improvement work satisfactorily completed and shall include attorney's fees, court costs, and administrative and other expenses necessarily paid or incurred in successfully enforcing performance of the obligation of the surety under such Bond. No changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances on the part of either the Village or the Owner to the other in or to the terms of this Agreement; in or to the schedules, plans, drawings, or specifications for the Project Improvements; in or to the method or manner of performance of the Project Improvement work; or in or to the mode or manner of payment therefor, shall operate in any way to release the Owner or the surety or affect the obligation of either of them under such Bond and all notice of any and all of the foregoing changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances, and all notice of any and all defaults by the Owner, shall be waived by the surety under the Bond.

2. **Letter of Credit.** Each Letter of Credit shall be in substantially the form attached to this Agreement as **Exhibit H** and shall be from a bank acceptable to the Village and having capital resources of at least \$50,000,000, with an office in the Chicago Metropolitan Area and insured by the Federal Deposit Insurance Corporation. Each letter of credit shall, at a minimum, provide that (a) it shall expire no earlier than the later of one year following the date of its issuance or 35 days after delivery to the Village, in the manner provided in Section 15.A of this Agreement, of written notice that the letter of credit will expire, (b) it may be drawn on based upon the Village Manager's certification that the Owner has failed to fulfill any of the obligations for which the letter of credit is security, as stated in this Section 13, (c) it shall not require the consent of the Owner prior to any draw on it by the Village, (d) it shall not be canceled without the prior written consent of the Village, and (e) if at any time it will expire within 35 or any lesser number of days, and if it has not been renewed, and if any obligation of the Owner for which it is security remains uncompleted or unsatisfactory, then the Village may, without notice and without being required to take any further action of any nature whatsoever, call and draw down the letter of credit and thereafter either hold all proceeds as security for the satisfactory completion of all obligations or employ the proceeds to complete all obligations and to reimburse the Village for any and all costs and expenses, including legal fees and administrative costs, incurred by the Village, as the Village shall determine. Upon completion of the Owner's obligations to construct and complete the Project Improvements pursuant to and in accordance with this Agreement, and after reimbursement of the Village for all costs and expenses, including legal fees and administrative costs, incurred by the Village, then the Village shall release to the Owner any proceeds remaining on deposit with the Village drawn from the letter of credit.

The Performance and Payment Letter of Credit may provide that the aggregate amount of the letter of credit may be reduced by resolution of the Village Board to reimburse the Owner for payment of Project Improvement work satisfactorily completed. No reduction for Project Improvement work satisfactorily completed shall be allowed except upon presentation by the Owner of proper contractors' sworn statements, partial or final waivers of lien, as may be

appropriate, and all additional documentation as the Village may reasonably request to demonstrate satisfactory completion of the Improvement in question and full payment of all contractors, subcontractors, and material suppliers.

The Guaranty Letter of Credit shall not be reduced by reason of any cost incurred by the Owner to satisfy its obligations under Section 8 of this Agreement.

E. **Replenishment of Security.** If at any time the Village determines that the funds remaining in the Cash Deposit and the Performance and Payment Security are not sufficient to pay in full (i) the remaining unpaid cost of all Project Improvements, (ii) the costs of demolition or making safe of any Structural Improvements that are in violation Of the Requirements of Law or that are incomplete or abandoned so as to create any hazard to the public health, safety, or welfare, and (iii) all unpaid or reasonably anticipated Village fees, costs, and expenses, or that the funds remaining in the Guaranty Letter of Credit are not, or may not be, sufficient to pay all unpaid costs of correcting any and all defects and deficiencies in the Project Improvements and all unpaid or reasonably anticipated Village fees, costs, and expenses relating to the Project Improvements, then, within 10 days after a demand by the Village, the Owner shall increase the amount of the Cash Deposit or the appropriate bond or letter of credit to an amount determined by the Village to be sufficient to pay unpaid fees, costs, and expenses. Failure to increase the amount of the security shall be grounds for the Village to retain any remaining balance of the Cash Deposit and to receive the proceeds of, or to draw down, as the case may be, the entire remaining balance of the appropriate bond or letter of credit. Upon completion of the Owner's obligations to construct and complete the Project Improvements pursuant to and in accordance with this Agreement, and after reimbursement of the Village for all fees and all costs and expenses, including legal fees and administrative costs, incurred by the Village, then the Village shall release to the Owner any remaining Cash Deposit and any proceeds remaining on deposit with the Village from any bond or letter of credit.

F. **Replacement Bond, Letters of Credit.** If at any time the Village determines that the surety company issuing the Performance and Payment Bond is not licensed to do business in the State of Illinois with a general rating of A and a financial size category of Class XV or better in Best's Insurance Guide or the bank issuing either the Performance and Payment Letter of Credit or the Guaranty Letter of Credit is without capital resources of at least \$50,000,000, or if at any time the Village determines that the surety company or bank is unable to meet any federal or state requirement for reserves, is insolvent, is in danger of becoming any of the foregoing, or is otherwise in danger of being unable or unwilling to honor the bond or letter of credit at any time during its term, or if the Village otherwise reasonably deems itself to be insecure, then the Village shall have the right to demand that the Owner provide a replacement bond or letter of credit, as the case may be, from a surety company or bank satisfactory to the Village.

The replacement bond or letter of credit shall be deposited with the Village not later than 30 days after a demand. Upon deposit, the Village shall surrender the original bond or letter of credit to the Owner. Failure to provide a replacement bond or letter of credit shall be grounds for the Village to retain any remaining balance of the Cash Deposit and to receive the proceeds of, or to draw down, as the case may be, the entire remaining balance of the appropriate bond or letter of credit.

G. **Use of Funds in the Event of Breach of Agreement.** If the Owner fails or refuses to complete the Project Improvements in accordance with this Agreement, or fails or refuses to correct any defect or deficiency in the Project Improvements as required by Section 8 of this Agreement, or fails or refuses to restore property in accordance with a demand made pursuant to Section 8 of this Agreement, or fails or refuses to pay any amount demanded by the Village as and when required pursuant to Section 13 of this Agreement, or in any other manner fails or refuses to meet fully any of its obligations under this Agreement, then the Village in its reasonable discretion, may retain all or any part of the Cash Deposit and/or initiate a claim against, or draw on, as the case may be, and retain all or any of the funds remaining in the appropriate bond or letter of credit. The Village thereafter shall have the right, subject to reasonable notice and opportunity for cure, to exercise its rights under this Agreement, to take any other action it deems reasonable and appropriate to mitigate the effects of any failure or refusal, and to reimburse itself from the proceeds of the Cash Deposit and/or the appropriate bond or letter of credit for all of its costs and expenses, including legal fees and administrative expenses, resulting from or incurred as a result of the Owner's failure or refusal to fully meet its obligations under this Agreement. If the funds remaining in the appropriate bond or letter of credit are insufficient to repay fully the Village for all costs and expenses, then the Owner shall upon demand of the Village therefor deposit with the Village any additional funds as the Village determines are necessary within 14 days of a request therefor, to fully repay such costs and expenses and to establish such cash reserve.

H. **Village Lien Rights.** If any money, property, or other consideration due from the Owner to the Village pursuant to this Agreement is not either recovered from the letter of credit required in this Section 13 or paid or conveyed to the Village by the Owner within 30 days after a demand for payment or conveyance, then the money, or the Village's reasonable estimate of the value of the property or other consideration, together with interest and costs of collection, including legal fees and administrative expenses, shall become a lien upon all portions of the Property in which the Owner retains any legal, equitable, or contractual interest, and the Village shall have the right to collect the amount or value, with interest and costs, including legal fees and administrative expenses, and the right to enforce the lien in the same manner as in statutory mortgage foreclosure proceedings. In the event, but only in the event, of a sale or transfer of the Property pursuant to a decree of foreclosure or any other proceeding in lieu of foreclosure, such lien shall be subordinate to any first mortgage whether now or hereafter placed upon the Property. No other sale or transfer shall not relieve the Property from liability for any charges hereafter becoming due, nor from the lien of any charge, except as otherwise provided by law.

I. **Alternative Security.** The Parties may mutually agree to utilize an alternative form of Performance and Payment Security, but only to the extent approved in writing by the Village Manager.

#### **SECTION 14. LIABILITY AND INDEMNITY OF VILLAGE**

A. **Village Review.** The Owner acknowledges and agrees that the Village is not, and shall not be, in any way liable for any damages or injuries that may be sustained as the result of the Village's review and approval of any plans for the Property or the Property Improvements, or the issuance of any approvals, permits, certificates, or acceptances, for the development or use of

the Property or the Property Improvements, and that the Village's review and approval of any such plans and the Property Improvements and issuance of any such approvals, permits, certificates, or acceptances does not, and shall not, in any way, be deemed to insure the Owner, or any of its heirs, successors, assigns, tenants, and licensees, or any third party, against damage or injury of any kind at any time, except as may be caused by the Village's willful and wanton conduct.

B. **Village Procedure and Legal Challenges.** To the best of the Parties' knowledge and understanding, the Owner and Village acknowledge and agree that all notices, meetings, and hearings have been properly given and held by the Village with respect to the approval of this Agreement and agree not to challenge such approval on the grounds of any procedural infirmity or of any denial of any procedural right. Furthermore, neither the Village nor the Owner shall assert the invalidity or unenforceability of this Agreement, or any provision of this Agreement, nor shall either contest the validity or enforceability of this Agreement, or any provision in this Agreement, or the zoning of the Property pursuant to this Agreement. In the event that the zoning of the Property is challenged by any person by an action at law or in equity, the Village shall, upon request of the Owner (i) vigorously defend such action with the Village counsel or such other counsel as is mutually acceptable to the Village and the Owner and cooperate with the Owner in the defense of such action, and the Owner shall reimburse the Village for all costs and fees, including reasonable attorneys' fees, that the Village may incur in defending such action and in rendering such cooperation, and provided further that the Owner shall have the right, upon prior notice to the Village, to elect to terminate their future reimbursement obligations but in the event that the Owner exercises such right, the Village shall be relieved from any obligation to defend such action or render such cooperation and (ii) take such other actions pursuant to the Illinois Municipal Code as are necessary to reconsider and reauthorize the execution of this Agreement by the Village President and Clerk, to zone the Property in the manner contemplated by this Agreement in a legally sustainable manner. Further, the Owner shall not challenge, or otherwise assert the invalidity or unenforceability of, the Transportation IGA.

C. **Indemnity.** The Owner agrees to, and does hereby, hold harmless and indemnify the Village, the Corporate Authorities, and all Village elected or appointed officials, officers, employees, agents, representatives, engineers, and attorneys, from any and all claims that may be asserted at any time against any of such parties in connection with (i) the Village's review and approval of this Agreement or any plans for the Property or the Property Improvements; (ii) the issuance to the applicable Owner of any approval, permit, certificate, or acceptance for the Property or the Property Improvements; (iii) the Owner's development, construction, maintenance, or use of any portion of the Property or the Property Improvements; and (iv) the performance by the Owner of their obligations under this Agreement, except as may be caused by the Village's gross negligence or willful misconduct.

D. **Defense Expense.** The Owner shall, and does hereby agree to, pay all expenses, including reasonable legal fees and administrative expenses, incurred by the Village in defending itself with regard to any and all of the claims referenced in Section 14.C of this Agreement.

E. **Immunities.** Nothing in this Agreement shall be deemed to be a waiver by the Village of any immunities from liability that may exist under law.

## **SECTION 15. NATURE, SURVIVAL, AND TRANSFER OF OBLIGATIONS**

All obligations assumed by the Owner under this Agreement shall be binding upon the Owner, upon any and all of the Owner's heirs, successors, and assigns, and upon any and all of the respective successor legal or beneficial owners of all or any portion of the Property. To assure that all such heirs, successors, assigns and successor owners have notice of this Agreement and the obligations created by it, the Owner shall:

- i. Deposit with the Village Clerk, contemporaneously with the Village's approval of this Agreement, any consents or other documents necessary to authorize the Village to record this Agreement with the Lake County Recorder of Deeds;
- ii. Notify the Village in writing when the Owner transfers a legal or beneficial interest in any portion of the Property to any party not a party to this Agreement (provided that any Owner's failure to do so shall not be a material default hereunder);
- iii. Require, prior to the transfer of all or any portion of the Property, or any legal or equitable interest therein to any party not a party to this Agreement, the transferee of said portion of the Property to execute an enforceable written agreement, in a form and substance acceptable to the Village Manager and Village Attorney, agreeing to be bound by the provisions of this Agreement, including without limitation compliance with the Performance Security obligations of Section 13 ("*Transferee Assumption Agreement*");

provided, however, that the requirements stated in the three preceding clauses shall not apply to any contract for, or transfer of, an individual lot, unit, or building or group of lots, units, or buildings for which all Improvements have been completed and approved pursuant to this Agreement. The Village agrees that upon a successor becoming bound to the personal obligation created in the manner provided in this Agreement and providing the financial assurances required herein, the liability of the Owner shall be released to the extent of the transferee's assumption of such liability. The failure of the Owner to provide the Village with a fully executed copy of a Transferee Assumption Agreement and, if requested by the Village, with the transferee's proposed assurances of financial capability before completing any such transfer shall result in the Owner remaining fully liable for all of the applicable Owner's obligations under this Agreement but shall not relieve the transferee of its liability for all such obligations as a successor to the Owner. The Village agrees, within 10 days of the Village's receipt of a written request by the Owner therefor, to respond to a request for an estoppel certificate concerning compliance with this Agreement.

## **SECTION 16. ENFORCEMENT**

The Parties to this Agreement may, in law or in equity, by suit, action, mandamus, or any other proceeding, including without limitation specific performance, enforce or compel the performance of this Agreement; provided, however, that the Owner agrees that it will not seek, and does not have the right to seek, to recover a judgment for monetary damages against the Village or any elected or appointed officials, officers, employees, agents, representatives, engineers, or attorneys thereof, on account of the negotiation, execution, or breach of any of the terms and conditions of this Agreement; except that, if the Village (i) breaches this Agreement and fails to perform its obligations hereunder, and (ii) thereafter contumaciously refuses to cure the breach

and perform or commence performance of its obligations under this Agreement within 30 calendar days after notice from the Owner setting forth with specificity the nature of the breach and the required performance, and (iii) refuses to notify Owner of the grounds under the Agreement for its non-performance within such 30-day period, then the Owner may seek a judgment for monetary damages as part of any enforcement action, notwithstanding the preceding sentence. In the event of a judicial proceeding brought by one Party to this Agreement against the other Party to this Agreement, the prevailing Party in such judicial proceeding shall be entitled to reimbursement from the unsuccessful Party of all costs and expenses, including reasonable attorneys' fees, incurred in connection with such judicial proceeding. In addition to every other remedy permitted by law for the enforcement of the terms of this Agreement, the Village shall be entitled to withhold the issuance of building permits or certificates of occupancy for any Structural Improvements within the Property at any time the Owner has failed or refused to meet fully any of their obligations under this Agreement; provided that the Village shall have no authority to seek specific performance for completion of the Structural Improvements for the proposed development. In the event of a breach of this Agreement (other than a breach for which the Owner seeks monetary damages as provided above), the parties agree that the Party alleged to be in breach shall have, unless specifically provided otherwise by any other provision of this Agreement, 30 days after notice of said breach delivered in accordance with Section 17 of this Agreement to correct the same prior to the non-breaching Party's pursuit of any remedy provided for in this Section 16; provided, however, that said 30-day period shall be extended, but only (iv) if the alleged breach is not reasonably susceptible to being cured within said 30-day period, and (v) if the defaulting Party has promptly initiated the cure of said breach, and (vi) if the defaulting Party diligently and continuously pursues the cure of said breach until its completion.

## **SECTION 17. GENERAL PROVISIONS**

A. **Notice.** Any notice or communication required or permitted to be given under this Agreement shall be in writing and shall be delivered (i), personally, (ii) by a reputable overnight courier, (iii) by certified mail, return receipt requested, and deposited in the U.S. Mail postage prepaid, (iv) by facsimile, or (v) by electronic internet mail ("***e-mail***"). Facsimile notices shall be deemed valid only to the extent that they are (a) actually received by the individual to whom addressed and (b) followed by delivery of actual notice in the manner described in either (i), (ii) or (iii) above within three business days thereafter at the appropriate address set forth below. E-mail notices shall be deemed valid and received by the addressee thereof when delivered by e-mail and (a) opened by the recipient on a business day at the address set forth below, and (b) followed by delivery of actual notice in the manner described in either (i), (ii) or (iii) above within three business days thereafter at the appropriate address set forth below. Unless otherwise expressly provided in this Agreement, notices shall be deemed received upon the earlier of (a) actual receipt; or (b) one (1) business day after deposit with an overnight courier as evidenced by a receipt of deposit; or (b) three (3) business days following deposit in the U.S. mail, as evidenced by a return receipt. By notice complying with the requirements of this Section, each party shall have the right to change the address or the addressee, or both, for all future notices and communications to such party, but no notice of a change of addressee or address shall be effective until actually received.

Notices and communications to Village shall be addressed to, and delivered at, the following address:

Village of Grayslake  
10 South Seymour Avenue  
Grayslake, IL 60030  
Attention: Village Manager  
E-mail: mellis@villageofgrayslake.com  
Fax # 847-223-4821

With a copy to:

Filippini Law Firm  
1560 Sherman Avenue, Suite 510  
Evanston, IL 60201  
E-mail: victor.filippini@filippinilawfirm.com  
Fax # 312-324-0668

Notices and communications to the Owner shall be addressed to, and delivered at, the following address:

\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

And with copies to:

\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

B. **Time of the Essence.** Time is of the essence in the performance of all terms and provisions of this Agreement.

C. **Rights Cumulative.** Unless expressly provided to the contrary in this Agreement, each and every one of the rights, remedies and benefits provided by this Agreement shall be cumulative and shall not be exclusive of any other such rights, remedies and benefits allowed by law.

D. **Non-Waiver.** Neither party shall be under any obligation to exercise any of the rights granted to it in this Agreement. The failure of any party to exercise at any time any such right shall not be deemed or construed to be a waiver thereof, nor shall such failure void or affect that party's right to enforce such right or any other right.

E. **Consents.** Whenever the consent or approval of any party hereto is required in this Agreement such consent or approval shall be in writing and shall not be unreasonably withheld or

delayed, and, in all matters contained herein, all parties shall have an implied obligation of reasonableness, except as may be expressly set forth otherwise.

F. **Governing Law.** This Agreement shall be governed by, and enforced in accordance with the internal laws, but not the conflicts of laws rules, of the State of Illinois.

G. **Severability.** It is hereby expressed to be the intent of the parties hereto that should any provision, covenant, agreement, or portion of this Agreement or its application to any person, entity, or property be held invalid by a court of competent jurisdiction, the remaining provisions of this Agreement and the validity, enforceability, and application to any person, entity, or property shall not be impaired thereby, but such remaining provisions shall be interpreted, applied, and enforced so as to achieve, as near as may be, the purpose and intent of this Agreement to the greatest extent permitted by applicable law.

H. **Entire Agreement.** This Agreement constitutes the entire agreement between the parties and supersedes any and all prior agreements and negotiations between the parties, whether written or oral, relating to the subject matter of this Agreement.

I. **Grammatical Usage and Construction.** In construing this Agreement, feminine or neuter pronouns shall be substituted for those masculines in form and vice versa, and plural terms shall be substituted for singular and singular for plural, in any place in which the context so requires.

J. **Interpretation.** This Agreement shall be construed without regard to the identity of the party who drafted the various provisions of this Agreement. Moreover, each and every provision of this Agreement shall be construed as though all parties to this Agreement participated equally in the drafting of this Agreement. As a result of the foregoing, any rule or construction that a document is to be construed against the drafting party shall not be applicable to this Agreement.

K. **Headings.** The table of contents, heading, titles, and captions in this Agreement have been inserted only for convenience and in no way define, limit, extend, or describe the scope or intent of this Agreement.

L. **Exhibits.** Exhibits A through I attached to this Agreement are, by this reference, incorporated in and made a part of this Agreement. In the event of a conflict between an exhibit and the text of this Agreement, the text of this Agreement shall control.

M. **Amendments and Modifications.** No amendment or modification to this Agreement shall be effective unless and until it is reduced to writing and approved and executed by all parties to this Agreement in accordance with all applicable statutory procedures.

N. **Changes in Laws.** Unless otherwise explicitly provided in this Agreement, any reference to any Requirements of Law shall be deemed to include any modifications of, or amendments to such Requirements of Law as may, from time to time, hereinafter occur; provided however, that other than life safety provisions, any zoning, subdivision, building codes, amendments to existing codes or other development codes or provisions which the Village adopts

after the effective date of this Agreement shall not apply to the Property, unless said change in laws is generally applicable to properties located in the same zoning district as the Property or in the Village's MX zoning district (except for developments in the Village subject to agreements providing otherwise).

O. **Authority to Execute.** The Village hereby warrants and represents to the Owner that the persons executing this Agreement on its behalf have been properly authorized to do so by the Corporate Authorities. The Owner hereby warrants and represents to the Village (i) that it is or will become the record and beneficial owner of, or contract purchaser of, fee simple title to the Property, (ii) that, upon Owner acquiring title to the Property, no other person or entity has any legal, beneficial, contractual or security interest in the Property except T5@CHICAGO IV LP, (iii) that they have the full and complete right, power and authority to enter into this Agreement and to agree to the terms, provisions and conditions set forth in and to bind the Property as set forth in this Agreement, (iv) that all legal actions needed to authorize the execution, delivery and performance of this Agreement have been taken, and (v) that neither the execution of this Agreement nor the performance of the obligations assumed by the Owner will (a) result in a breach or default under any agreement to which the Owner is a party or to which it or the Property is bound or (b) violate any statute, law, restriction, court order or agreement to which the Owner or the Property are subject.

P. **Calendar Days and Time.** Any reference herein to "day" or "days" shall mean calendar and not business days. If the date for giving of any notice required to be given hereunder or the performance of any obligation hereunder falls on a Saturday, Sunday or Federal holiday, then said notice or obligation may be given or performed on the next business day after such Saturday, Sunday or Federal holiday

Q. **No Third-Party Beneficiaries.** No claim as a third-party beneficiary under this Agreement by any person, firm or corporation shall be made, or be valid, against the Village or the Owner.

R. **Required Parties.** The Village and the Owner may, by mutual consent, agree to amend the terms and conditions of this Agreement. However, the consent of an individual owner to any amendment shall not be required from and after the date such owner no longer owns a portion of the Property. Only the written approval of the owner of the portion of the Property that is the subject of the proposed amendment shall be required to execute such amendment. All amendments to this Agreement shall be in writing and no purported oral amendment to the Agreement shall be binding or enforceable against the parties. Applications for amendment to this Agreement or to the Special Use Permit need only be signed by the owner of that portion of the Property that is described in said application.

S. **Amendments to Special Use Permit and Revisions to Preliminary Plans.** The Corporate Authorities may consider and act upon amendments to the Special Use Permit without the same being deemed an amendment to this Agreement, provided that all applicable procedural requirements of the Zoning Ordinance pertaining to the amendment of Special Use Permits and the provisions of this Agreement are satisfied. The Corporate Authorities, at Owner's request, may also approve revisions to the Preliminary Plans that are consistent with the provisions of this

Agreement and such revisions shall not require an amendment to either this Agreement or the Special Use Permit.

*[Signature pages to follow]*

WHEREFORE, the parties hereto have signed this Agreement on the date and year first above written.

**ATTEST:**

**VILLAGE OF GRAYSLAKE**

\_\_\_\_\_  
Village Clerk

By: \_\_\_\_\_  
President

**T5@CHICAGO IV LP**  
**ATTESTED:**

**T5@CHICAGO IV LP**  
**BY:**

\_\_\_\_\_  
AUTHORIZED OFFICER    Date

\_\_\_\_\_  
AUTHORIZED OFFICER    Date

STATE OF ILLINOIS        )  
                                      ) SS.  
COUNTY OF LAKE        )

I, \_\_\_\_\_, a Notary Public in and for said County, in the State aforesaid, DO HEREBY CERTIFY that \_\_\_\_\_ as Authorized Agent for \_\_\_\_\_, personally known to me to be the same person whose name is subscribed to the foregoing instrument, appeared before me this day in person and acknowledged that he signed and delivered said instrument, as his free and voluntary act, for the uses and purposes therein set forth.

GIVEN under my hand and notarial seal this \_\_\_\_\_ day of \_\_\_\_\_, 2024

\_\_\_\_\_  
Printed Name: \_\_\_\_\_  
Notary Public  
My Commission Expires: \_\_\_\_\_

WHEREFORE, the parties hereto have signed this Agreement on the date and year first above written.

ATTEST:

Kelly C. Karl  
Village Clerk



VILLAGE OF GRAYSLAKE

By: [Signature]  
President

T5@CHICAGO IV LP

ATTESTED:

T5@CHICAGO IV LP

BY:

\_\_\_\_\_  
AUTHORIZED OFFICER

\_\_\_\_\_  
Date

\_\_\_\_\_  
AUTHORIZED OFFICER

\_\_\_\_\_  
Date

STATE OF ILLINOIS     )  
                                      ) SS.  
COUNTY OF LAKE     )

I, \_\_\_\_\_, a Notary Public in and for said County, in the State aforesaid, DO HEREBY CERTIFY that \_\_\_\_\_ as Authorized Agent for \_\_\_\_\_, personally known to me to be the same person whose name is subscribed to the foregoing instrument, appeared before me this day in person and acknowledged that he signed and delivered said instrument, as his free and voluntary act, for the uses and purposes therein set forth.

GIVEN under my hand and notarial seal this \_\_\_\_\_ day of \_\_\_\_\_, 2024

\_\_\_\_\_  
Printed Name:

\_\_\_\_\_  
Notary Public

\_\_\_\_\_  
My Commission Expires:

## **Exhibit A**

### **Legal Description**

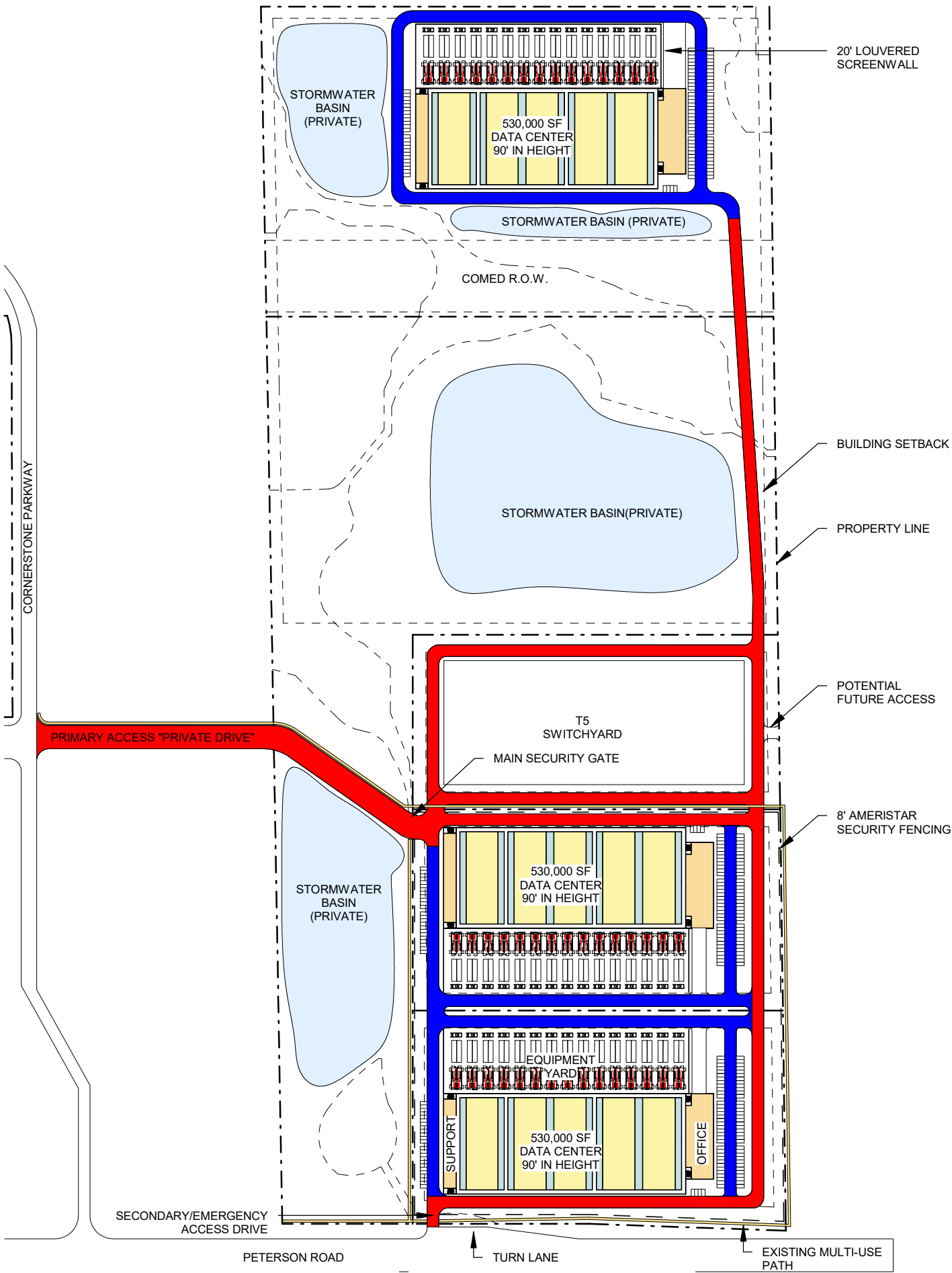
#### **PARCEL 1:**

THE EAST 1/2 OF THE NORTHWEST 1/4 (EXCEPT THE NORTH 185.0 FEET THEREOF) OF SECTION 11, TOWNSHIP 44 NORTH, RANGE 10, EAST OF THE THIRD PRINCIPAL MERIDIAN (EXCEPT THE SOUTH 40 FEET THEREOF, HERETOFORE DEDICATED FOR PUBLIC ROAD PURPOSES BY DOCUMENT 761162, RECORDED JUNE 23, 1952) AND (EXCEPT THAT PART CONVEYED TO THE COUNTY OF LAKE BY WARRANTY DEED RECORDED MAY 17, 2012 AS DOCUMENT 6852910), IN LAKE COUNTY, ILLINOIS.

#### **PARCEL 2:**

THAT PART OF THE EAST 1/2 OF THE SOUTHWEST 1/4 OF FRACTIONAL SECTION 2, TOWNSHIP 44 NORTH, RANGE 10, EAST OF THE THIRD PRINCIPAL MERIDIAN, LYING SOUTH OF A LINE DESCRIBED AS FOLLOWS: BEGINNING AT THE NORTHWEST CORNER OF THE SOUTH 19 ACRES OF THE SOUTHWEST 1/4 OF THE SOUTHEAST 1/4 OF SAID FRACTIONAL SECTION 2; THENCE WEST, PARALLEL WITH THE SOUTH LINE OF THE SOUTHWEST 1/4 OF SAID SECTION 2, TO THE WEST LINE OF THE EAST 1/2 OF THE SOUTHWEST 1/4 OF SAID SECTION 2 AND THE WESTERLY TERMINUS OF THE LINE HEREIN INTENDED TO BE DESCRIBED, IN LAKE COUNTY, ILLINOIS.

EXHIBIT B



- GENERAL DEVELOPMENT PLAN NOTES:**
- CORNERSTONE PATTERN BOOK STANDARDS TO APPLY TO THE DEVELOPMENT OF THE SITE, INCLUDING LANDSCAPING FOR INDIVIDUAL SITES AND COMMON AREAS.
  - SCREENING WALLS AROUND THE EQUIPMENT YARD TO BE ARCHITECTURALLY COMPATIBLE WITH THE BUILDING AND OF SUFFICIENT HEIGHT TO ADEQUATELY SCREEN EQUIPMENT(NOT TO EXCEED 20') FROM PUBLIC ROADWAYS AND VIEWPOINTS.
  - MX ZONING STANDARDS TO APPLY UNLESS VARIED IN THE PUD AGREEMENT.
  - THE BUILDING CONFIGURATION, SIZE, AND NUMBER MAY VARY BUT THE TOTAL SQUARE FOOTAGE SHALL NOT EXCEED 1,590,000 SF.
  - 8' TALL SECURITY FENCING MAY BE INSTALLED AROUND EACH SITE OR ENTIRE SITE.
  - PRIVATE DRIVEWAY TO BE DESIGNED FOR ALL EMERGENCY VEHICLES TO BE ABLE TO ACCESS THE PROPERTY AND MANEUVER WITHIN THE PROPERTY
  - THE LAYOUT OF THE DETENTION PONDS MAY VARY BASED ON FINAL SITE GRADING AND APPLICABLE ENGINEERING.
  - THE SCREENING WALLS AROUND THE SUBSTATION AND SWITCHYARDS SHALL BE AT A HEIGHT TO SUBSTANTIALLY SCREEN THE SUBSTATION AND SWITCHYARDS AND LANDSCAPE SCREENING THAT MEETS THE CORNERSTONE PATTERN BOOK STANDARDS IS TO BE INSTALLED AROUND THESE SCREENING WALLS.
  - CROSS ACCESS EASEMENT TO BE INCLUDED ACROSS ALL ROADWAYS/DRIVEWAYS.
  - 10-FT. WATER AND 15-FT. SANITARY EASEMENTS, RUNNING PARALLEL TO THE ROADWAYS/DRIVEWAYS ACCESS ALONG PETERSON ROAD TO BE PROVIDED.
  - ALL EASEMENTS FOR WATER, SANITARY, AND ROADWAY/DRIVEWAY SHALL BE LOCATED OUTSIDE THE SECURITY FENCING FOR THE DEVELOPMENT.

- ROADWAY/DRIVEWAY (PRIVATE)
- BUILDING ACCESS DRIVE (PRIVATE)
- WALKING PATH





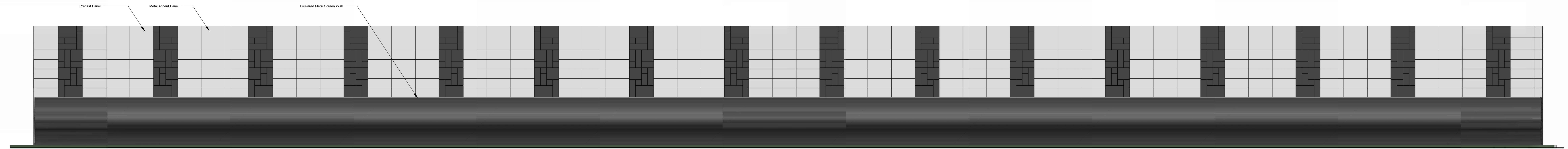




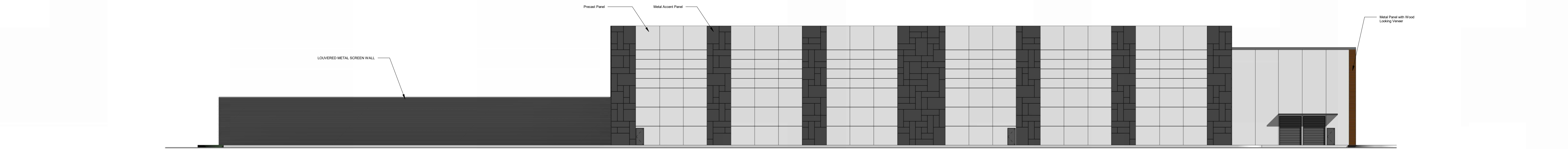
Corner View

# Secondary Building Design - 2 Story Elevations (2 of 2)

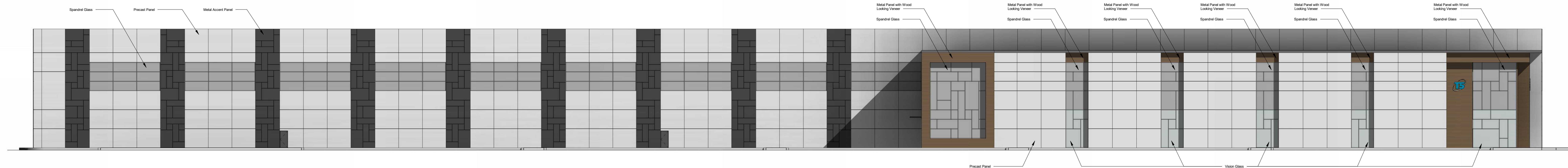
EXHIBIT C



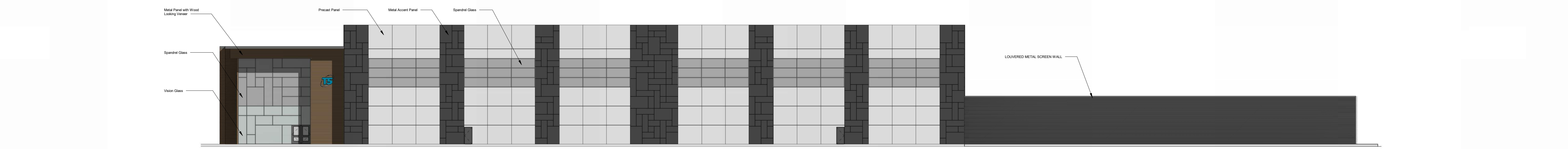
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1/16" = 1'-0"



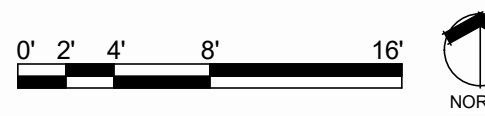
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1/16" = 1'-0"



2 West Elevation  
1/16" = 1'-0"



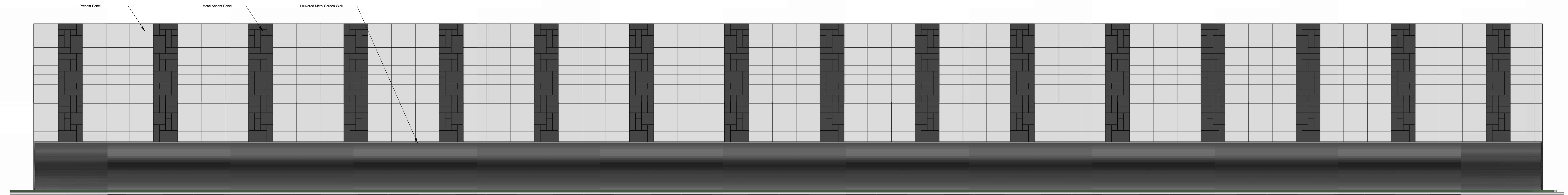
1 South Elevation  
1/16" = 1'-0"



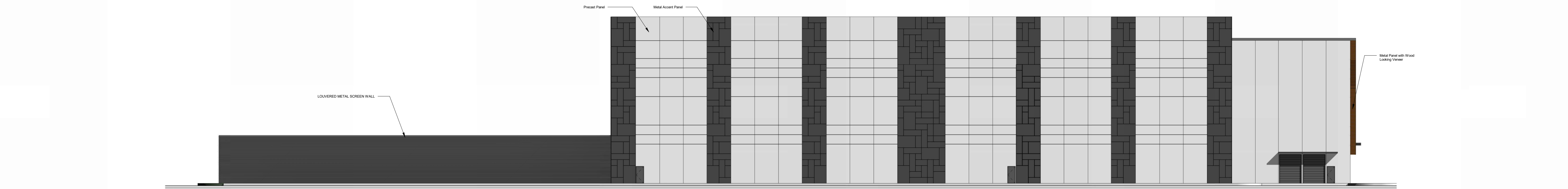
Elevations



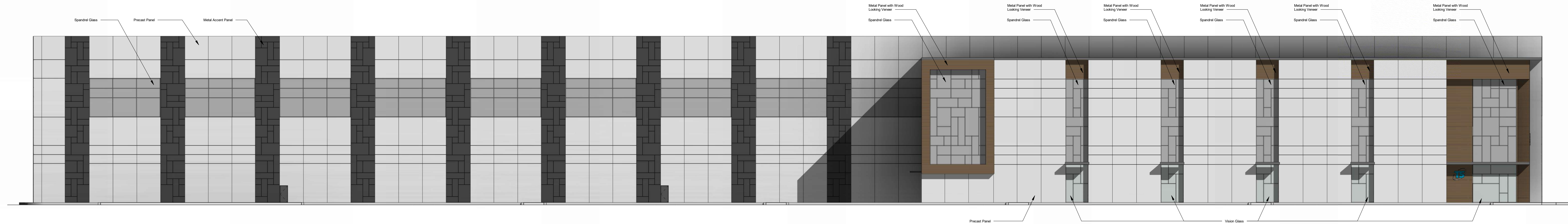
Corner View



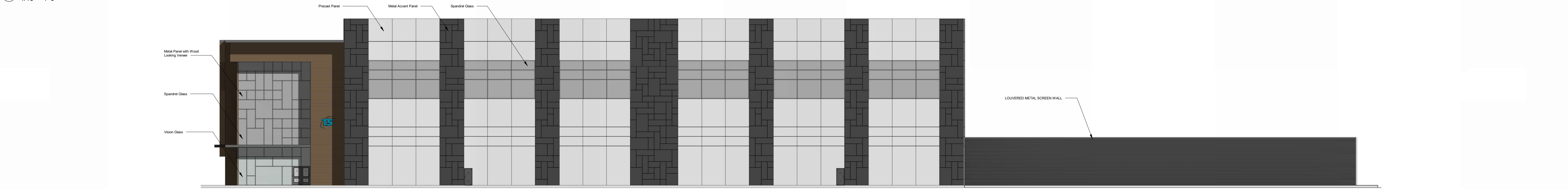
4 East Elevation  
1/16" = 1'-0"



3 North Elevation  
1/16" = 1'-0"



2 West Elevation  
1/16" = 1'-0"



1 South Elevation  
1/16" = 1'-0"

## Secondary Building Design - 3 Story Elevations (2 of 2)

EXHIBIT C

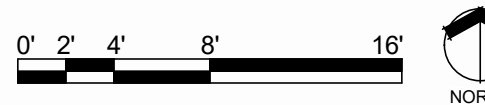


EXHIBIT D

**GENERAL NOTES:**

- LANDSCAPE SCREENING THAT MEETS THE CORNERSTONE PATTERNBOOK STANDARDS IS TO BE INSTALLED AROUND THE SCREENING WALL FOR THE SUBSTATION AND SWITCH YARDS.
- THE SCREENING WALLS SHALL BE AT A HEIGHT TO SUBSTANTIALLY SCREEN THE SUBSTATION AND SWITCH YARDS



EXHIBIT E



Prattling name: K:\CHS\DOEA\168672015\_Corgans\_Consolidate\_v11.2  
 Date: Nov 12, 2024, 5:04pm  
 Author: Chris Ostermann  
 Title: EMI 2 (2)  
 Description: This document, together with the concepts and designs described herein, is intended solely for the specific purpose and client for which it was prepared. Reuse of and/or broader reliance on this document without written authorization and adaptation by Kinley-Horn and Associates, Inc. shall be without liability to Kinley-Horn and Associates, Inc.

1. EACH BUILDING TO HAVE ITS OWN SEPARATE SANITARY AND WATER SERVICE DIRECTLY FROM THE MAIN.
2. ALL EASEMENTS FOR WATER, SANITARY, AND ROADWAY/DRIVEWAY SHALL BE LOCATED OUTSIDE THE SECURITY FENCING FOR THE DEVELOPMENT
3. CROSS ACCESS EASEMENT TO BE INCLUDED ACROSS ALL ROADWAYS/DRIVEWAYS.
4. 10-FT WATER AND 15-FT SANITARY EASEMENTS, RUNNING PARALLEL TO THE DRIVEWAY ACCESS EASEMENTS ALONG PETERSON ROAD TO BE PROVIDED
5. NO WATER OR SANITARY SEWER MAINS TO BE LOCATED IN THE LAKE COUNTY DEPARTMENT OF TRANSPORTATION RIGHT-OF-WAY.
6. PROJECT IMPROVEMENTS INCLUDE LANDSCAPING, STORMWATER DETENTION, SANITARY SEWER, WATER, AND ROADWAY IMPROVEMENTS.

|                                                                                     |                                                                                                          |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
|  | PROPOSED STORM SEWER LINE                                                                                |
|  | PROPOSED OPEN LID STORM STRUCTURE<br>(PAVEMENT USE NEENAH R-2540)<br>(GRASS USE NEENAH R-4340-B BEEHIVE) |
|  | PROPOSED CLOSED LID STORM STRUCTURE<br>(PAVEMENT USE NEENAH R-1713)<br>(GRASS USE NEENAH R-1786)         |
|  | PROPOSED COMBINATION CURB INLET<br>(B6.12 C&G USE NEENAH R-3281-A)                                       |
|  | PROPOSED FLARED END SECTION                                                                              |

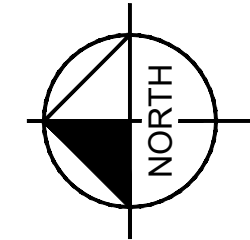
|                                                                                     |                                  |
|-------------------------------------------------------------------------------------|----------------------------------|
|  | EXISTING FIRE HYDRANT            |
|  | EXISTING SANITARY SEWER LINE     |
|  | EXISTING WATER LINE              |
|  | PROPOSED SANITARY SEWER LINE     |
|  | PROPOSED SANITARY MANHOLE        |
|  | PROPOSED STORM/SANITARY CLEANOUT |
|  | PROPOSED WATER LINE              |
|  | PROPOSED VALVE VAULT             |

PAVED MULTI-USE PATH

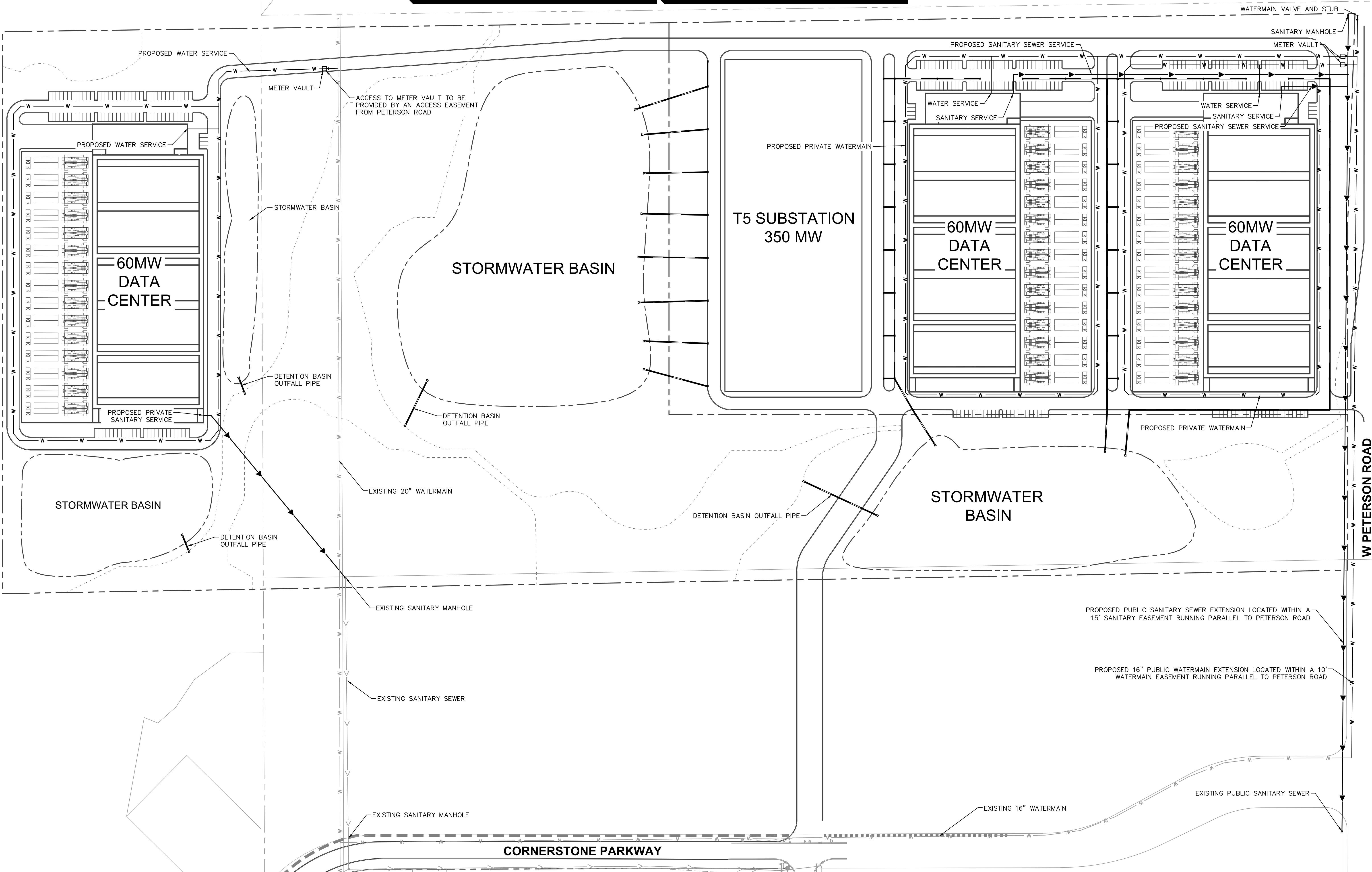
MULCHED TRAIL SYSTEM

GRAPHIC SCALE IN FEET

0 50 100 200



**Call  
Before  
You Dig**  
**JULIE**  
1-800-892-0123



|              |          |
|--------------|----------|
| SCALE:       | AS NOTED |
| DESIGNED BY: | CDO      |
| DRAWN BY:    | DAP      |
| CHECKED BY:  | EJT      |

# PRELIMINARY ENGINEERING PLAN

GRAYSLAKE -  
CAMPUS 1A

WILLIAM ALTER DR AND CORNERSTONE PKWY  
CRAVENS AVE # 60020

|                 |            |
|-----------------|------------|
| ORIGINAL ISSUE: | 09/10/2024 |
| KHA PROJECT NO. | 168672015  |
| SHEET NUMBER    |            |

## EXH. 3.0

**EXHIBIT G**  
**FORM OF PERFORMANCE AND PAYMENT BOND**  
**VILLAGE OF GRAYSLAKE**  
**SUBDIVISION PERFORMANCE BOND**

**KNOW ALL MEN BY THESE PRESENTS:** that **[OWNER]**, of **[OWNER ADDRESS]**, as Principal, hereinafter called Contractor, and **[ FULL NAME AND ADDRESS OF SURETY]**, as Surety, a corporation organized and existing under the laws of the State of **[INCORPORATION]**, hereinafter called Surety, are held and firmly bound unto the Village of Grayslake, as Obligee, hereinafter called the Village, in the full and just sum of **[REQUIRED AMOUNT]** Dollars (\$**[REQUIRED AMOUNT]**), for the payment of which sum of money well and truly to be made, Contractor and Surety bind themselves, their heirs, executors, administrators, successors, and assigns, jointly and severally, firmly by these presents, said amount to include payment of actual costs and damages and for attorneys' fees, architectural fees, design fees, engineering fees, accounting fees, testing fees, consulting fees, administrative costs, court costs, interest, and any other fees and expenses resulting from or incurred by reason of Contractor's failure to promptly and faithfully perform its contract with Village, said contract being more fully described below, and to include attorneys' fees, court costs, and administrative and other expenses necessarily paid or incurred in successfully enforcing performance of the obligation of Surety under this bond.

**WHEREAS**, the Village has approved a Development Agreement between **[OWNER]** and the Village, as well as Ordinance No. \_\_\_\_\_, approving a final plat of subdivision/planned unit development for certain real property in the Village of Grayslake (collectively "**Development Agreement**"), by and pursuant to which Contractor has the obligation to construct and install certain improvements ("**Improvements**") for the development of such subdivision/ planned unit development ("**Property**"), the terms and conditions of which the Development Agreement are by this reference incorporated herein as though fully set forth herein.

**NOW, THEREFORE, THE CONDITION OF THIS OBLIGATION IS SUCH THAT** if Contractor shall well, truly, and promptly perform all the undertakings, covenants, terms, conditions and agreements of said Contractor under the Development Agreement relating to the construction of the Improvements described therein, including, but not limited to, Contractor's obligations under the Development Agreement: (1) to provide, perform, and complete at the Property and in the manner specified in the Development Agreement all necessary work, labor, services, transportation, equipment, materials, apparatus, machinery, tools, fuels, gas, electric, water, waste disposal, information, data, and other means and items necessary for the construction, installation, and completion of the Improvements required in the Development Agreement; (2) to procure and furnish all permits, licenses, and other governmental approvals and authorizations necessary in connection therewith; (3) to pay all applicable federal, state, and local taxes; (4) to do all other things required of Contractor by the Development Agreement; and (5) to provide, perform, and complete all of the foregoing in a proper and workmanlike manner and in full compliance with, and as required by and pursuant to, the Development Agreement; all of which is herein referred to as the "**Work**," whether or not any of said Work enter into and become component parts of the improvement contemplated, then this obligation shall be null and void; otherwise it shall remain in full force and effect.

Surety, for value received, hereby stipulates and agrees that no changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances on the part of either Village or Contractor to the other in or to the terms of the Development Agreement; in or to the schedules, plans, drawings, or specifications; in or to the method or manner of performance of the Work; in or to the mode or manner of payment therefor; or in or to Village-furnished facilities, equipment, material, service, or sites; shall in any way release Contractor and Surety or either or any of them, or any of their heirs, executors, administrators, successors, or assigns or affect the obligations of Surety on this bond, all notice of any and all of the foregoing changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances, and notice of any and all defaults by Contractor being hereby waived by Surety.

Notwithstanding anything to the contrary in the foregoing paragraph, in no event shall the obligations of Surety under this bond in the event of Contractor's default be greater than the obligations of Contractor under the Development Agreement in the absence of such Contractor default.

In the event of a default or defaults by Contractor, Village shall have the right to take over and complete the Contractor's obligations under the Development Agreement upon 30 calendar days' written notice to Surety, in which event Surety shall pay Village all costs incurred by Village in taking over and completing the Development Agreement.

At its option, Village may instead request that Surety take over and complete the Contractor's obligations under the Development Agreement, in which event Surety shall take reasonable steps to proceed promptly with completion no later than 30 calendar days from the date on which Village notifies Surety that Village wants Surety to take over and complete the Contractor's obligations under the Development Agreement.

Village shall have no obligation to actually incur any expense or correct any deficient performance of Contractor in order to be entitled to receive the proceeds of this bond.

No right of action shall accrue on this bond to or for the use of any person or corporation other than Village or the heirs, executors, administrators, or successors of Village.

Signed and sealed this \_\_\_\_ day of \_\_\_\_\_, 20\_\_\_\_.

Attest/Witness:

PRINCIPAL: \_\_\_\_\_

By: \_\_\_\_\_

By: \_\_\_\_\_

***[NAME OF CONTRACTOR'S  
EXECUTING OFFICER]***

Title: \_\_\_\_\_

Title: ***[TITLE OF CONTRACTOR'S  
EXECUTING OFFICER]***

Attest/Witness:

SURETY: ***[NAME OF SURETY]***

By: \_\_\_\_\_

By: \_\_\_\_\_

Title: \_\_\_\_\_

Title: \_\_\_\_\_

Telephone: \_\_\_\_\_

**FORM OF  
SUBDIVISION LABOR AND MATERIAL PAYMENT BOND**

**KNOW ALL MEN BY THESE PRESENTS:** that **[OWNER]**, of **[OWNER'S ADDRESS]**, as Principal, hereinafter called Contractor, and **[FULL NAME AND ADDRESS OF SURETY]**, as Surety, a corporation organized and existing under the laws of the State of **[INCORPORATION]**, hereinafter called Surety, are held and firmly bound unto the Village of Grayslake, as Obligee, hereinafter called the Village, for the use and benefit of itself and of claimants as hereinafter defined, in the full and just sum of **[REQUIRED AMOUNT]** Dollars (**[\$REQUIRED AMOUNT]**), to be paid to it or the said claimants or its or their assigns, to which payment well and truly to be made Contractor and Surety bind themselves, their heirs, executors, administrators, successors, and assigns, jointly and severally, firmly by these presents, said amount to include attorney's fees, court costs, and administrative and other expenses necessarily paid or incurred in successfully enforcing performance of the obligation of Surety under this bond.

**WHEREAS**, the Village has approved an Agreement of Conditions and Specifications for a Special Use Permit for Cornerstone Property between **[OWNER]** and the Village, as well as Ordinance No. \_\_\_\_\_, approving a final plat of subdivision/planned unit development for certain real property in the Village of Grayslake ("**Development Agreement**"), by and pursuant to which Contractor has the obligation to construct and install certain improvements ("**Improvements**") for the development of such subdivision/planned unit development ("**Property**"), the terms and conditions of which Development Agreement are by this reference incorporated herein as though fully set forth herein.

**NOW, THEREFORE, THE CONDITION OF THIS OBLIGATION IS SUCH THAT** if Contractor shall promptly pay or cause to be paid all sums of money that may be due to any claimant with respect to Contractor's obligations under the Development Agreement: (1) to provide, perform and complete at the Property and in the manner specified in the Development Agreement all necessary work, labor, services, transportation, equipment, materials, apparatus, machinery, tools, fuels, gas, electric, water, waste disposal, information, data, and other means and items necessary for the construction, installation, and completion of the Improvements required in the Development Agreement; (2) to procure and furnish all permits, licenses, and other governmental approvals, and authorizations necessary in connection therewith; (3) to pay all applicable federal, state, and local taxes; (4) to do all other things required of Contractor by the Development Agreement; and (5) to provide, perform, and complete all of the foregoing in a proper and workmanlike manner and in full compliance with, and as required by and pursuant to, the Development Agreement; all of which is herein referred to as the "**Work**," whether or not any of said Work enter into and become component parts of the improvement contemplated, then this obligation shall be null and void; otherwise it shall remain in full force and effect.

For purpose of this bond, a claimant is defined as one having a direct contract with Contractor or with a subcontractor of Contractor to provide, perform, or complete any part of the Work.

Contractor and Surety hereby jointly and severally agree that every claimant who has not had all just claims for the furnishing of any part of the Work paid in full, including, without limitation, all claims for amounts due for materials, lubricants, oil, gasoline, rentals of or service or repairs on machinery, equipment, and tools consumed or used in connection with the furnishing of any part of the Work, may sue on this bond for the use of such claimant, may prosecute the suit to final judgment for such sum or sums as may be justly due such claimant, and may have

execution therein; provided, however, that Village shall not be liable for the payment of any costs or expenses of any such suit. To the extent applicable, the provisions of 30 ILCS 550/1 and 30 ILCS 550/2 shall be deemed inserted herein, including the time limits within which notices of claim must be filed and actions brought under this bond.

Contractor and Surety hereby jointly agree that Village may sue on this bond if Village is held liable to, or voluntarily agrees to pay, any claimant directly, but nothing in this bond shall create any duty on the part of Village to pay any claimant.

Surety, for value received, hereby stipulates and agrees that no changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances on the part of Village or Contractor to the other in or to the terms of the Development Agreement; in or to the schedules, plans, drawings, or specifications; in or to the method or manner of performance of the Work; in or to Village-furnished facilities, equipment, material, service, or site; or in or to the mode or manner of payment therefor shall in any way release Contractor and Surety or either or any of them, or any of their heirs, executors, administrators, successors, or assigns, or affect the obligations of said Surety on this bond, all notice of any and all of the foregoing changes, modifications, alterations, omissions, deletions, additions, extensions of time, or forbearances and notice of any and all defaults by Contractor or of Village's termination of Contractor being hereby waived by Surety.

Signed and sealed this \_\_\_\_ day of \_\_\_\_\_, 20\_\_.

Attest/Witness:

PRINCIPAL: \_\_\_\_\_

By: \_\_\_\_\_

By: \_\_\_\_\_

***[NAME OF CONTRACTOR'S  
EXECUTING OFFICER]***

Title: \_\_\_\_\_

Title: ***[TITLE OF CONTRACTOR'S  
EXECUTING OFFICER]***

Attest/Witness:

SURETY: ***[NAME OF SURETY]***

By: \_\_\_\_\_

By: \_\_\_\_\_

Title: \_\_\_\_\_

Title: \_\_\_\_\_

Telephone: \_\_\_\_\_

**EXHIBIT H**

**FORM OF IRREVOCABLE LETTER OF CREDIT**

IRREVOCABLE LETTER OF CREDIT NO. \_\_\_\_\_ AMOUNT: \_\_\_\_\_

EXPIRATION DATE: \_\_\_\_\_ DATE OF ISSUE: \_\_\_\_\_

\_\_\_\_\_  
[Name of Bank]

\_\_\_\_\_  
[Address]

TO: The Village of Grayslake  
Ten South Seymour  
Grayslake, Illinois 60030  
Attention: Village Manager

WE HEREBY AUTHORIZE YOU TO DRAW AT SIGHT on the \_\_\_\_\_  
\_\_\_\_\_ UP TO AN AGGREGATE AMOUNT OF  
\_\_\_\_\_ United States Dollars (\$\_\_\_\_\_) for account of  
\_\_\_\_\_ ("**Customer**").

Drafts under this Letter of Credit shall bear upon their face the words:

Drawn under \_\_\_\_\_  
Credit No. \_\_\_\_\_ Dated: \_\_\_\_\_

and shall be in the form attached hereto as Exhibit "A" and shall be accompanied by one of the following documents executed by the Village Manager or his or her designee:

(a) A written statement on the form attached hereto as Exhibit "B" stating that, conditioned upon proper notice to the Village Manager, Letter of Credit No. \_\_\_\_\_ will expire within 35 days or less and that the Customer has failed to deliver to the Grayslake Village Manager evidence of a renewal of Letter of Credit No. \_\_\_\_\_; or

(b) A written statement on the form attached hereto as Exhibit "C" stating that all or any part of the Property Improvements to be constructed pursuant to the Agreement of Conditions and Specifications for \_\_\_\_\_, dated \_\_\_\_\_, by and between the Village of Grayslake and [**OWNER**] ("**Development Agreement**") have not been constructed in accordance with the Development Agreement; or

(c) A written statement on the form attached hereto as Exhibit "D" stating that all or any part of the costs, payments, permit fees or other fees required to be paid to the Village

pursuant to the Development Agreement have not been paid in accordance with the Development Agreement; or

(d) A written statement on the form attached hereto as Exhibit "E" stating that all or any portion of the maintenance, repair, or restoration required to be performed pursuant to the Development Agreement has not been performed in accordance with the Development Agreement; or

(e) A written statement on the form attached hereto as Exhibit "F" stating that the funds remaining in this Letter of Credit are insufficient to pay in full (i) the remaining unpaid cost of all improvements to be performed pursuant to the Development Agreement, (ii) the costs of demolition or making safe of any buildings and structures identified in the Development Agreement that are in violation of any applicable federal, state, county, local governmental, or Village law, statute, code, ordinance, resolution, rule, or regulation, or that are incomplete or abandoned so as to create any hazard to the public health, safety, or welfare, and (iii) all unpaid Village fees, costs, and expenses incurred or to be incurred, and that, within ten days of demand by the Village, the Customer has failed to increase the amount of this Letter of Credit to an amount reasonably determined by the Village to be sufficient to pay such unpaid fees, costs and expenses; or

(f) A written statement on the form attached hereto as Exhibit "G" stating that the funds remaining in the Letter of Credit which the Customer is required to deposit with the Village pursuant to the Development Agreement are not reasonably sufficient to pay all unpaid costs of correcting any and all defects and deficiencies in the improvements to be performed pursuant to the Development Agreement and all related unpaid Village fees, costs, and expenses incurred or to be incurred, and that, within ten days of demand by the Village, the Customer has failed to increase the amount of the Letter of Credit to an amount reasonably determined by the Village to be sufficient to pay such unpaid fees, costs and expenses; or

(g) A written statement on the form attached hereto as Exhibit "H" stating that the Village has demanded, and the Customer has failed to provide, a replacement to this Letter of Credit as required pursuant to the Development Agreement; or

(h) A written statement on the form attached hereto as Exhibit "I" stating that all or any portion of the Customer's undertakings pursuant to the Development Agreement have not been performed in accordance with the Development Agreement.

EXCEPT AS EXPRESSLY PROVIDED OTHERWISE IN THIS LETTER OF CREDIT, THIS LETTER OF CREDIT IS SUBJECT TO THE "UNIFORM CUSTOMS AND PRACTICE FOR DOCUMENTARY CREDITS 1993 REVISION, INTERNATIONAL CHAMBER OF COMMERCE BROCHURE NO. 500" (THE "UNIFORM RULES"). IN THE EVENT OF A CONFLICT BETWEEN THIS LETTER OF CREDIT AND THE UNIFORM RULES, THIS LETTER OF CREDIT SHALL CONTROL.

WE HEREBY AGREE with the drawers of drafts drawn under and in compliance with the terms of this Letter of Credit, that:

1. Drafts drawn under and in compliance with this Letter of Credit shall be duly honored immediately upon presentation to the drawees if presented on or before the above-stated Expiration Date or presented at our office together with the original of this Letter of Credit on or before that date.

2. The amount of any draft drawn under this Letter of Credit must be endorsed on the reverse hereof by our bank.

3. If, within three business days after any draft drawn under this Letter of Credit is presented to us in conformance with the terms of this Letter of Credit, we fail to honor same, we agree to pay all attorneys' fees, court costs and other expenses incurred by the Village of Grayslake in enforcing the terms hereof.

4. This Letter of Credit shall expire on \_\_\_\_\_, 20\_\_\_\_, as stated hereinabove; provided, however, that we shall notify the Village Manager by certified mail, return receipt requested, at least 35 days, but not more than 90 days, prior to said expiration date, that this Letter of Credit is about to expire.

5. In no event shall this Letter of Credit or the obligations contained herein expire except upon the prior written notice required herein, it being expressly agreed that the above expiration date shall be extended as shall be required to comply with the prior written notice required herein.

6. No consent, acknowledgment, or approval of any kind from the Customer shall be necessary or required prior to honoring any draft presented in conformance with the terms of this Letter of Credit.

7. The aggregate amount of this Letter of Credit may be reduced only upon receipt by us of a document executed by the Village Manager stating that such aggregate amount shall be reduced in an amount permitted by the Grayslake Subdivision Ordinance because of the satisfactory completion of all or part of the Property Improvements required to be constructed pursuant to the Development Agreement.

8. This Letter of Credit shall not be canceled without the prior written consent of the Village.

9. If at any time this Letter of Credit will expire within 35 days or less, and if it has not been renewed, and if any obligation of the Customer for which it is security remains uncompleted or unsatisfactory, then the Village may, without notice and without being required to take any further action of any nature whatsoever, call and draw down this Letter of Credit and thereafter either hold all proceeds as security for the satisfactory completion of all obligations or employ the proceeds to complete all obligations and to reimburse the Village for any and all costs and expenses, including reasonable legal fees and administrative costs, incurred by the Village, as the Village shall determine.

10. This Letter of Credit is irrevocable.

\_\_\_\_\_  
***[Signature of Bank Officer]***

\_\_\_\_\_  
***[Signature of Bank Officer]***

\_\_\_\_\_  
***[Officer' s Title]***

\_\_\_\_\_  
***[Officer' s Title]***

EXHIBIT "A" TO FORM OF IRREVOCABLE LETTER OF CREDIT

FORM OF DRAFT

[To Be Supplied By Issuing Bank]

EXHIBIT "B" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that Letter of Credit No. \_\_\_\_\_ dated  
\_\_\_\_\_ in the amount of \$\_\_\_\_\_ will expire within 35 days or  
less and that \_\_\_\_\_ has failed to deliver to the Grayslake Village  
Manager evidence of a renewal of Letter of Credit No. \_\_\_\_\_.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "C" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that all or any part of the Improvements to be constructed pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_. have not been constructed in accordance with said agreement.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "D" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that all or any part of the costs, payments, permit fees, or other fees required to be paid pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_, have not been paid in accordance with said agreement.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "E" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that all or any part of the maintenance, repair, or restoration required to be performed pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_, have not been performed in accordance with said agreement.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT " F" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that the funds remaining in this Letter of Credit are insufficient to pay in full (i) the remaining unpaid cost of all improvements to be performed pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_, (ii) the costs of demolition or making safe of any buildings and structures identified in the Development Agreement that are in violation of any applicable federal, state, county, local governmental, or Village law, statute, code, ordinance, resolution, rule, or regulation, or that are incomplete or abandoned so as to create any hazard to the public health, safety, or welfare, and (iii) all unpaid Village fees, costs, and expenses incurred or to be incurred, and that, within ten days of demand by the Village, the Customer (as that term is defined in the above-referenced Letter of Credit) has failed to increase the amount of this Letter of Credit to an amount reasonably determined by the Village to be sufficient to pay such unpaid fees, costs and expenses.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "G" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that the funds remaining in the Letter of Credit which the Customer (as that term is defined in the above-referenced Letter of Credit) is required to deposit with the Village pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_, are not reasonably sufficient to pay all unpaid costs of correcting any and all defects and deficiencies in the improvements required to be performed pursuant to the Development Agreement and all related unpaid Village fees, costs, and expenses incurred or to be incurred, and that, within ten days of demand by the Village, the Customer has failed to increase the amount of the Letter of Credit to an amount reasonably determined by the Village to be sufficient to pay such unpaid fees, costs and expenses.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "H" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that the Village has demanded, and the Customer (as that term is defined in the above-referenced Letter of Credit) has failed to provide, a replacement to this Letter of Credit as required pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_.

Very truly yours,

\_\_\_\_\_  
Village Manager

EXHIBIT "I" TO FORM OF IRREVOCABLE LETTER OF CREDIT

To:  
Attn:

Re: Letter of Credit No. \_\_\_\_\_

Ladies and Gentlemen:

This is to advise you that all or any part of the undertakings of the Customer (as that term is defined in the above-referenced Letter of Credit) pursuant to the Development Agreement by and between the Village of Grayslake and **[OWNER]**, dated \_\_\_\_\_, have not been performed in accordance with said agreement.



**INTERGOVERNMENTAL AGREEMENT BETWEEN  
THE VILLAGE OF GRAYSLAKE AND THE COUNTY OF LAKE  
REGARDING THE CENTRAL RANGE AREA OF THE HEARTLAND PROPERTY**

THIS INTERGOVERNMENTAL AGREEMENT (the "Agreement") is made this 5 day of April, 2005, by and between the VILLAGE OF GRAYSLAKE, an Illinois municipal corporation (the "Village") and the COUNTY OF LAKE (the "County") (the County and the Village are sometimes collectively referred to herein as the "Parties").

**RECITALS**

A. On October 16, 1986, Lake Properties Venture and LaSalle National Bank as Trustee under Trust No. 44264 (collectively, "LPV"), the Village, and the County entered into a Settlement Agreement and Release (the "Settlement Agreement") regarding the settlement of litigation relating to property owned by LPV, consisting of approximately 2,100 acres, and legally described in Exhibit A attached to this Agreement (the "Heartland Property").

B. Pursuant to the Settlement Agreement, the Village, County, and LPV agreed to certain conditions and procedures for the zoning and development of the Heartland Property.

C. The Village and the County desire to restate certain development procedures and standards applicable to a portion of the Heartland Property referred to as the Central Range area in the Settlement Agreement and legally described in Exhibit B, attached to this Agreement.

D. LPV has sold its interests in various parcels within the Heartland Property. LPV and its successor owners shall, for purposes of this Agreement, be referred to as the "Heartland Owners."

NOW, THEREFORE, for and in consideration of the mutual promises, covenants, and agreements set forth herein, the Parties hereby agree as follows:

**Section 1. Recitals.** The foregoing recitals are material to this Agreement and are incorporated herein as though fully set forth in this Section 1.

**Section 2. Zoning Restrictions.** Development of the Central Range area for residential uses shall be subject to the conditions and limitations set forth in Subsection 3(iii) of the Settlement Agreement. In addition, the County and the Village acknowledge and agree that, consistent with Subsection 8(a) of the Settlement Agreement, the Central Range area may be developed for non-residential purposes in accordance with the planned development regulations set forth in the County Zoning Ordinance in effect as of the date of the Settlement Agreement.

**Section 3. Permit Application; Review; Approval.**

A. Pursuant to Section 9 of the Settlement Agreement, all applications for zoning, building, or other development permits, as well as the review of such applications, shall be in accordance with the applicable codes, ordinances, and regulations set forth in Section 8 of the Settlement Agreement.

B. With respect to any portion of the Central Range area that is located within the corporate limits of the Village, the Village shall process zoning and development approval application in strict conformance with applicable County codes, ordinances, and regulations set forth in Section 8 of the Settlement Agreement.

C. Consistent with the Settlement Agreement, with respect to any application for a planned development within the Central Range area, as part of the Village's processing of such application:

1. The Village shall deliver to the County Administrator three sets of the plans relating to such application (the "Proposed Plans") no less than 60 days prior to any binding consideration by the Village Board of the Proposed Plan. The Proposed Plans shall be accompanied by a County review fee in an amount equal to 50% of the County's rezoning application fee for a rezoning to an industrial zoning district in effect at the time of the submission of the Proposed Plans, which fee the Village shall secure from the applicant submitting the Proposed Plans.
2. Upon receipt of the Proposed Plans and review fee from the Village, the County Administrator shall cause the County staff to review the Proposed Plans to confirm that the Proposed Plans are not inconsistent with the applicable County Zoning Ordinance provisions and the applicable codes pursuant to Section 8 of the Settlement Agreement (the "County PUD Standards").

3. Not more than 60 days after the Village's delivery of the Proposed Plans (the "PUD Review Period"), the County Administrator shall deliver to the Village either a "conformance certificate" or a "notice of non-conformance" based upon the County staff's review of the Proposed Plans. A conformance certificate shall represent the County staff and Administrator's certification that the Proposed Plans are not inconsistent with the County PUD Standards. In the event that the County Administrator fails to deliver either a conformance certificate or a notice of non-conformance to the Village before the end of the PUD Review Period, such failure shall be deemed to constitute a conformance certificate.
4. In the event that the County Administrator delivers a notice of non-conformance to the Village prior to the end of the PUD Review Period, such notice shall specify the particular aspects of the Proposed Plans that do not satisfy one or more express provisions of the County PUD Standards, which provisions shall be cited.
  - a. If the Village does not dispute any elements of the notice of nonconformance, the Village shall require the applicant to revise the Proposed Plans to address the specified nonconformances with the County PUD Standards. Upon the applicant's resubmittal of the Proposed Plans as revised, the revised elements of the Proposed Plans shall again be delivered to the County Administrator, and steps 3.C.1-3 of this Agreement shall be repeated; provided, however, that the PUD Review Period for such resubmittal shall be 30 days (the "Resubmitted PUD Review Period").
  - b. If the Village does dispute one or more elements of the notice of nonconformance, the Village shall deliver a notice to the County Administrator identifying the disputed elements set forth in the notice of nonconformance and requesting to meet (a "Nonconformance Conference Notice"). Not more than 30 days after delivery of the Nonconformance Conference Notice, the appropriate representatives of the Village and County staffs shall meet to confer about the items noted in the Nonconformance Conference Notice.
    - i. If, upon the conclusion of a Nonconformance Conference, the County agrees that one or more of the disputed elements in the notice of nonconformance are not inconsistent with the County PUD Standards, or the County is unable to identify an express provision of the County PUD Standards with which an aspect of the Proposed Plans is inconsistent, the County Administrator shall either:
      - (A) issue a conformance certificate for the Proposed Plans, or

- (B) issue a modified notice of nonconformance that eliminates those elements in the notice of nonconformance that are no longer in dispute or that are not inconsistent with an express provision of the County PUD Standards,

as the case may be.

- ii. If, upon the conclusion of a Nonconformance Conference, the County and the Village do not agree regarding one or more disputed elements in the notice of nonconformance, and the County Administrator or County staff have identified an express provision of the County PUD Standards with which the County has determined the Proposed Plans are not consistent, then such elements shall remain part of the notice of nonconformance (as such notice may have otherwise been revised through the Nonconformance Conference).
- iii. If the County does not convene a Nonconformance Conference within 30 days after the delivery of a Nonconformance Conference (or such longer period as the parties may otherwise agree to in writing), then the County Administrator shall be deemed to have issued a conformance certificate for the Proposed Plans, notwithstanding any prior notice of nonconformance respecting that set of the Proposed Plans.

If, after the conclusion of a Nonconformance Conference, there remain aspects of the Proposed Plan that are identified in a notice of nonconformance (as such notice may have been revised through the Nonconformance Conference), the Village shall thereafter require the applicant to revise the Proposed Plans to address any remaining nonconformances with the County PUD Standards. Upon the applicant's resubmittal of the Proposed Plans as revised, the revised elements of the Proposed Plans shall again be delivered to the County Administrator, and steps 3.C.1-3 of this Agreement shall be repeated, except that the County shall complete its review under Section 3.C.2 within the Resubmittal PUD Review Period.

**Section 4. Development of Central Range Area.** The County agrees to provide sanitary sewer services to the Central Range area; provided, however, that such sanitary sewer service shall be limited to non-residential uses only; provided further that such sanitary sewer service shall be delivered in accordance with the "Restated and Amended Agreement for Sewage Disposal" between the Village and the County (the "Restated Sewer Agreement"),

which Restated Sewer Agreement is attached to this Agreement as Exhibit C and is hereby approved by the County and the Village.

**Section 5. Building Inspections.** Pursuant to Section 10 of the Settlement Agreement, building inspections and other services relating to the development of those portions of the Heartland Property that have been annexed to the Village shall be performed by the County. The parties hereby acknowledge that the existing agreement between the Village and the County for such inspections and other services shall apply to such territory within the Village that is located in the Central Range area, which existing agreement is attached to this Agreement as Exhibit D (the "Building Inspection Services Agreement"). Subject to the written acceptance of the Village, the County may assign its responsibilities under the Building Inspection Services Agreement to the Village.

**Section 6. Building and Related Codes.** The applicable building and related codes for development of the Central Range area (including, without limitation, mechanical, electrical, plumbing, and fire safety codes) are those specified in Section 8 of the Settlement Agreement.

**Section 7. Public Improvements.**

A. **In General.** Pursuant to Sections 12 and 13 of the Settlement Agreement, all public improvements, including without limitation, water and sanitary sewer systems and roads, shall be constructed in accordance with codes, ordinances, regulations, and standards no less stringent than those listed in Section 8 of the Settlement Agreement.

B. **Transportation Matters.** In addition to the provisions of the Settlement Agreement, the Village and the County hereby approve an "Agreement for Transportation Improvements" (the "Transportation Agreement"), which Transportation Agreement is attached to this Agreement as Exhibit E and is hereby approved by the County and the Village. In the event that the Village is in breach of its obligations under the Transportation Agreement, the County shall have the right to defer approval of any further permit applications for sanitary

sewer service until such time as the Village cures any outstanding breach under the Transportation Agreement.

**Section 8. Continued Effect.** The Settlement Agreement shall continue in full force and effect.

**Section 9. Notice.** All notices, elections, and other communications between the Parties hereto shall be in writing and shall be mailed by certified mail, return receipt requested, postage prepaid, or delivered personally, to the Parties at the following addresses, or at such other addresses as the Parties may, by notice, designate:

If to Village:

Village of Grayslake  
Attention: Village Manager  
10 South Seymour Street  
Grayslake, IL 60030

If to the County:

County of Lake  
Attention: County Administrator  
18 North County Street  
Waukegan, IL 60085

Notices shall be deemed received on the third business day following deposit in the U.S. Mail, if given by certified mail as aforesaid, and upon receipt, if personally delivered.

**Section 10. Challenges to Agreement; Interpretation; Severability.**

A. **Joint Defense.** In the event that a third-party should make a claim or demand or file a suit challenging the provisions of this Agreement (including without limitation any challenge that this Agreement is inconsistent with the terms of the Settlement Agreement) (a "Claim"), the Parties shall jointly defend themselves, each other, and this Agreement against such Claim, unless the Parties mutually agree to modify the Agreement in a manner that would negate the Claim.

B. **Interpretation and Severability.** It is the intent of the Parties that the Central Range area be developed for non-residential purposes, and this Agreement has been entered into to further this purpose. It is the further intent of the County and the Village that this

Agreement be construed and interpreted so as to preserve its validity and enforceability as a whole. In case of any conflict among the provisions of this Agreement, the provision that best promotes and reflects the intent of the parties shall control. If any provision of this Agreement is construed or held to be void, invalid, or unenforceable in any respect, the remaining provisions of this Agreement shall not be affected thereby but shall remain in full force and effect. Notwithstanding the foregoing, to the extent that a Claim succeeds against the Parties that would permit the extension of sanitary sewer service to residential development within the Central Range area or otherwise be inconsistent with the terms or intent of this Agreement, the Restated Sewer Agreement, or the Transportation Agreement, then this Agreement shall be interpreted to automatically withdraw the County's approval, as required pursuant to Section 12(f) of the Settlement Agreement, which is attached hereto as Exhibit F, to allow sanitary sewer services to such portion of the Central Range area (including the entire Central Range area, if applicable), and any provision of this Agreement or the Restated Sewer Agreement to the contrary shall be deemed null and void.

C. Property Owner Agreements. The Village agrees that it shall not hereafter annex any territory located within the Central Range area described on Exhibit B to this Agreement unless the Village has entered into an annexation agreement with the owner(s) of record of such territory, which agreement shall expressly incorporate the terms of this Agreement, the Restated Sewer Agreement, and the Transportation Agreement into its terms, and which agreement shall also require the owner(s) of record of such territory and such owner's or owners' successors in interest to such territory to release any claims against the County and the Village with respect to either (i) the terms, conditions, and limitations upon sanitary sewer service as set forth in the Restated Sewer Agreement or (ii) the requirements or restriction as set forth in the Transportation Agreement.

Section 11. Term; Amendment. This Agreement shall continue in full force and effect throughout the term of the Settlement Agreement, unless this Agreement is (a) amended by

**Execution Copy**

mutual consent of the Parties, (b) modified as a result of a Claim (see Section 10 above), or (c) is found by a court of competent jurisdiction to be inconsistent with the Settlement Agreement.

IN WITNESS WHEREOF, the Parties have caused these presents to be executed by their duly authorized corporate officers and have caused their corporate seals to be hereunto affixed all as of the day and year first above written.

VILLAGE:

COUNTY:

Village of Grayslake

The County of Lake

By:

Its Village President

By:

Chairman, Lake County Board

Attest:

Village Clerk

Attest:

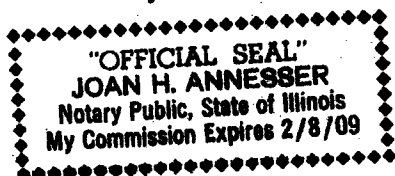
County Clerk

# 21503381\_v13

STATE OF ILLINOIS       )  
                                       )  
 COUNTY OF LAKE         )       SS

I, the undersigned, a Notary Public in and for the County and State aforesaid, do hereby certify that Timothy R. Perry and James W. Lawrence personally known to me to be the Village President and Clerk, respectively, of the Village of Grayslake, and personally known to me to be the same persons whose names are subscribed to the foregoing instrument, appeared before me this day in person and severally acknowledged that as such President and Clerk, they signed and delivered the said instrument as such President and Clerk of said Village, and caused the corporate seal of said Village to be affixed thereto, pursuant to authority, given by the Board of Trustees of said Village as their free and voluntary act, and as the free and voluntary act and deed of said Village, for the uses and purposes therein set forth.

Given under my hand and official seal, this 5<sup>th</sup> day of April, 2005.



Joan H. Annesser  
 Notary Public

STATE OF ILLINOIS )  
COUNTY OF LAKE ) SS

I, the undersigned, a Notary Public in and for the County and State aforesaid, do hereby certify that SUZI SCHMIDT and WILLARD NEUMANN personally known to me the Board Chairman and Clerk, respectively, of the County of Lake, and personally known to me to be the same persons whose names are subscribed to the foregoing instrument, appeared before me this day in person and severally acknowledged that as such Board Chairman and Clerk, they signed and delivered the said instrument as such Board Chairman and Clerk of said County, and caused the corporate seal of said County to be affixed thereto, pursuant to authority, given by the Lake County Board as their free and voluntary act, and as the free and voluntary act and deed to said County, for the uses and purposes therein set forth.

Given under my hand and official seal, this 11<sup>th</sup> day of MARCH, 2005.

